

Final Assessment Reps - FAIS

Level 1 Questions

1. The FAIS Act requires that the FSP/Key Individual must ensure that the Representatives are fit and proper at recruitment and appointment stage and secondly that the Representatives remain fit and proper throughout their employment.

Consider the following statements carefully and then choose the statement that is FALSE.

a) To ensure honesty and integrity you can check the data bureau.

c) To ensure honesty and integrity you can check the validity of membership of professional bodies or other institutions.

d) To ensure honesty and integrity you can check the FSB website to see if a Representative has been debarred.

2. Consider the following statements carefully and then choose the statement that is FALSE.

a) The definition of "advice" includes any recommendation, guidance or proposal of a financial nature given to a client about buying, investing in a financial product. ✓

c) "Advice" is not an analysis or report on a financial product without an express or implied recommendation, guidance or proposal that a transaction in respect of the product meet the client's needs, investment objectives or financial situation.

d) Intermediary service is defined in the FAIS Act as any act other than the furnishing of advice, performed by a person for or on behalf of a client or product supplier, which results in a transaction. ✓

3. Which of the following requirements are not applicable to Custody of Client Funds and Premiums?

a) The FSP must have a separate bank account at a bank.

b) The bank account must be designated to receive funds and premiums from clients.

c) The account may contain other funds of the FSP.

d) The FSP is responsible for bank charges except deposit or withdrawal charges.

4. Consider the following statements carefully and then choose the statement that is FALSE.

a) The FAIS Act was introduced to regulate the business of all Financial Service Providers who give advice or provide intermediary services to clients, regarding a wide range of financial products.

b) Administration of the FAIS Act is done by the FAIS Registrar. The Registrar has defined functions, powers and obligations.

d) The enforcement part of the FAIS Act deals with the FAIS Ombud and related matters. It also deals with civil remedies, undesirable practices, offences and penalties, voluntary sequestration, winding-up and closure.

5. Which of the following statements are TRUE regarding record keeping obligations in terms of the Act?

a) The FSP must ensure that records are kept for a minimum of fifteen years except if the Registrar allowed specific exemptions in this regard.

c) The FSB, and by implication it will be part of the management duties of a Key Individual, must ensure that records are kept for a minimum of two years.

d) The FAIS Registrar, and by implication it will be part of the management duties of a Key Individual, must ensure that records are kept for a minimum of five years except if the Registrar allowed specific exemptions in this regard.

6. Consider the following statements carefully and then choose the statement that is FALSE.

a) A FSP must ensure that a compliance function exists or is established as part of the risk management framework of the business.

b) FSPs are not allowed to outsource the compliance function.

c) The compliance function must be supervised by an approved Compliance Officer as required by the Act, or managed and controlled by the FSP alone (where the FSP has less than one Key Individual or Representative).

d) The FSP/Key Individual is responsible to ensure that the appointed FAIS Compliance Officer has adequate resources available to meet all the compliance requirements of the FAIS Act.

7. The FAIS Act requires that a Key Individual needs to be appointed in certain circumstances.

Choose the INCORRECT statement:

a) When an entity applies for a licence in terms of FAIS.

b) When a Key Individual is replaced.

- c) When the FSP expands its operations to include additional financial products.
- d) When a Key Individual has operational ability.

8. Once a Representative has been removed from the FSP Representative's register, who needs to be informed in writing of this?

Choose one answer.

- a) FAIS Registrar.
- b) National Credit Regulator.
- c) Financial Services Board.
- d) FAIS Ombud.

9. Which of the following statements is TRUE regarding record keeping?

Choose one answer.

- b) The documents used to identify and verify clients as well as records of all transactions must be retained for a period of at least two and a half years from the date on, which the business relationship was terminated.
- c) The documents used to identify and verify clients as well as records of only transactions, which are regarded important must be retained for a period of at least five years from the date on, which the business relationship commenced.
- d) The documents used to identify and verify clients as well as records of all transactions do not have to be retained.

10. Which of the statements is TRUE regarding the lapsing of a license?

Choose one answer.

- a) The Registrar may publish notification of the lapsing only in the Gazette.
- c) The Registrar may not publish the notification under any circumstances. It is a matter between the Registrar and the licensee.
- d) The Registrar may only publish the notification of lapsing a license in the media as preferred by the licensee.

11. Whose responsibility is it to ensure that client information is securely filed and protected against any misuse by any unauthorised person?

Choose one answer.

- a) Compliance Officer.
- b) Registrar.
- c) Representatives.
- d) Key Individuals/ FSP.

12. Providers such as FSPs and their Representatives have specific duties when giving financial advice and representations to their clients. Which statement is TRUE?

- a) Representations have to be factually correct.
- b) Representations have to be in plain language, readable and a clear format.
- c) Provided in specific monetary terms relating to amounts, sums and fees unless not reasonably determined.

13. The person appointed in the supervisory capacity has certain duties. Which statement below is INCORRECT and is NOT included in their duties?

- a) The sign-off on advice given to clients.
- b) Do appropriate post-transaction sampling.
- c) Observe selected meetings between the supervisee and customers.

14. All Key Individuals must meet certain criteria to be approved. Which one of the following statements is INCORRECT?

- a) All Key Individuals need to have the minimum MANAGEMENT experience requirements
- b) All Key Individuals need to have the required qualifications.
- c) All Key Individuals need to have completed the relevant regulatory examinations for the main categories and sub-categories of the financial products.

15. If a FSP who wants to register as a Sole Proprietor he/ she must have meet certain criteria before the licence is granted. Which statement is INCORRECT?

- a) The FSP must have the minimum experience requirements.
- b) The FSP must have the required qualifications.
- c) The FSP must complete the relevant regulatory examinations for the categories and sub-categories of the financial products.

16. When a Representative is debarred from the FAIS Register, what would the purpose be?

Choose the CORRECT one.

- b) It would prevent an FSP, under certain circumstances, from rendering Financial Services to clients.
- c) It would prevent a Compliance Officer, under certain circumstances, from providing compliance services to clients.
- d) None of the above.

17. How often should the Representative register be updated?

- a) Every month.
- b) Bi-annually.
- c) Within 15 days of any changes to the Representative's fit and proper circumstances.
- d) As soon as there are any changes to the Representative's fit and proper circumstances.

18. What is the CORRECT description of a Category III FSP?

Choose one answer.

- a) An investment manager or person who manages client funds.
- b) An investment manager or person who cannot give advice but can only maintain the administrative functions of the investments.
- d) None of the above.

19. Which of the following statements is FALSE?

- a) The FSP/Key Individual is responsible to ensure that the appointed FAIS compliance officer has adequate resources available to meet all the compliance requirements of the FAIS Act.
- c) Compliance officers are responsible for the compliance functions in relation to the particular Categories and subcategories in terms of the FSP license, for which they are approved by the Registrar.

d) The compliance function must be supervised by an approved compliance officer as required by the Act, or managed and controlled by the FSP alone.

20. What is the definition of Money Laundering? Choose the FALSE statement.

a) Money laundering refers to any act that obscures the illicit nature or the existence, location or application of proceeds of crime.

b) Money laundering is the processing of proceeds received from criminal activities, to disguise their origin.

d) A and C

21. A licence lapses under certain circumstances. Choose the INCORRECT Statement.

a) Where the licensee is sequestered.

b) Where the licensee is finally liquidated or dissolved

c) Where the business of the licensee has become dormant.

d) When a licensee does not pay for the licence within 30 days.

22. When is a company technically insolvent? Choose the CORRECT description.

a) When assets exceed liabilities.

b) When it does not show a profit.

d) When the rates are not paid.

23. There are certain policies regarding disclosure to a client. With whom does the duty of disclosure lie? Choose the CORRECT one.

a) The intermediary.

b) The intermediary and insurer.

c) The insured.

24. Certain records need to be kept in terms of the FAIS requirement. Which one of the statements is TRUE?

a) A copy of the insured's payslip.

b) A copy of the insured's bank statement.

d) A copy of the insured's financial arrangement account agreements.

25. When telephonic advertising is done, what must be kept as proof of a client's acceptance of the transaction? Choose the CORRECT statement.

- a) There is no proof necessary.
- c) A contract signed before a commissioner of oaths.
- d) A record of the telephone call and the signed contract

26. It is important to record changes to a policy. Why is this so? Choose the CORRECT statement.

- a) The FAIS Act stipulates that it is required.
- b) For the Representative to show that he has contacted his client.

d) To check that the client operates in the terms and conditions of the policy.

27. If a client wants to lodge a complaint, what is the procedure that can be followed? Choose the CORRECT one.

- a) The client must go into FSP offices to lodge a complaint and needs to request a meeting with the manager prior to doing this.
- b) The client must be given the complaints resolution process and has the option to inform the FSB or the Ombud.

d) The client will not be able to lodge a complaint until a reference number has been generated for her.

28. There are certain disclosures that a Representative needs to disclose to a client. Choose the INCORRECT statement.

- a) Details of the financial services that he is authorised to provide in terms of the mandate or appointment by the FSP.
- b) Name and contact details of the product provider.
- c) Whether more than 30% of his total commission for the previous 12 months was from one product supplier.

29. Who is responsible for approving Representatives?

- a) The FSB.

- b) The FAIS Registrar.
 - c) The FSP.
 - d) The FAIS Ombud.
30. Several Code of Conducts have been published to date.

Which of the following is NOT a Code of Conduct?

- a) Code of Conduct for FSPs and Representatives who are involved in Forex Investment business.
- b) The General Code of Conduct for Authorised Financial Service Providers.
- c) The Specific Code of Conduct, which relates to long term deposit business.
- d) None of the above.

31. Competency requirements include the following:

- a) minimum experience requirements.
- b) once-off compliance with Continuous Professional Development requirements.
- c) honesty and integrity.
- d) the successful completion of relevant Regulatory Examinations within 7 years of appointment.

32. What does section 14(2) of the FAIS Act allow?

- b) A FSP must inform the registrar within 15 days after the removal of a name of a Representative or key individual.
- c) A FSP must debar a Representative in certain circumstances.
- d) The registrar may publish the names of people who are debarred.

33. When can a policy according to the FAIS Act be regarded as invalid? Choose the CORRECT one.

- a) The FSP underwriting the policy does not have a licence from the FSB to do so.
- b) The client is registered as a policyholder on the insurer's database.
- c) The client has not read his policy summary and the details within the policy are not correct.
- d) None of the above.

34. What is the aim of FICA? Choose the INCORRECT one.

- a) To establish the Financial Intelligence Centre.
- b) To combat money laundering activities.
- c) To impose certain duties on institutions who might be used for money laundering services.

35. Money launders try to achieve certain main objectives. Choose the one that describes their objective best.

- a) They try to disguise the ownership and origin from where the money comes.
- b) They try to disguise the profit and source of crime.
- c) They try to disguise the audit trail of the money and transactions.
- d) All of the above.

36. Red Financial is looking to appoint a Category III Representative. Which of the following individuals meet the general and specific experience requirements?

- a) Jessica worked in various categories within financial services intermittently for the last ten years in the UK and Australia.
- b) Robbie worked in England in Category III for eight years and returned to South Africa four years ago to start his own insurance business.

d) Caleb has worked at a company offering Category III financial services for the last five years in various roles including office management and graphic design.

37. Below is a list of some provisions a Code of Conduct might relate to. Which one is FALSE?

- a) Canvassing and marketing.
- b) How to insure proper safe keeping.
- c) Record keeping.
- d) Counterfeit money.

38. Which of the following statements is TRUE?

- b) The FIC Act internal rules must be made available to the compliance officers and money laundering control officers, and on request, a copy thereof must be made available to the FIC and relevant supervisory bodies.
- c) The FIC Act internal rules must include record keeping and financial service advice procedures.
- d) The FIC Act prescribes the format of the required training.

40. There are certain procedures to be considered with regard to debarment – choose the CORRECT statement.

A FSP/key individual must:

- b) Ensure that debarment is excluded from the contract of employment or mandate.
- c) Ensure that the debarment is kept confidential for fear of creating panic in the market.
- d) Ensure that reasons for the debarment, together with the FSB prescribed debarment notification form, are sent to the registrar within 15 days before removal of the name of the Representative from the Representative register.

41. Which of the following statements are TRUE: Choose one answer.

- b) Complaints must be recorded in accordance with the complaints policy of the FSB.
- c) It is the compliance officer's duty to ensure that client information is securely filed and protected against any misuse by any unauthorised person.
- d) A FSP may disclose confidential information acquired or obtained from a client if the client's employer requested information verbally and in writing.

42. What are the main duties of accountable institutions in respect of FICA? Choose the CORRECT one.

- a) Duties to identify and verify clients.
- b) Duties to report suspicious transactions.
- c) Duties to train staff and put reporting procedures in place.
- d) All of the above.

43. Indicate which of the following sectors are NOT classified as financial services.

- a) Banks.
 - b) Long term insurance.
 - c) Collective investment.
 - d) Post Office.
44. What is a debenture? Choose one answer.

- a) Secured debt.
 - b) Unsecured debt.
 - c) Bond
 - d) None of the above.
45. Which of the following statements is FALSE?

Choose one answer.

- a) Conflict of interest means a situation where a provider or a Representative has an actual or potential interest that may influence the objective exercising of obligations to the client or prevent the rendering of financial services in an unbiased and fair manner.
- b) Conflict of interest will therefore occur when two or more interests conflict with one another and can render the financial service biased or inadequate.
- d) The requirements for commission disclosures apply to the management of conflict of interests as well.

46. What does Section 14A of the FAIS Act allow for?

- a) A FSP must inform the registrar within 15 days after the removal of a name of a Representative or key individual.
- b) A FSP must consult the Ombud or the Registrar before debaring a person.
- c) Debarment must happen within 15 days of the disciplinary hearing.
- d) Debarment of persons by the FAIS Registrar.

47. There are certain powers that a supervisory body has.

Choose the INCORRECT one.

- a) They can compel an accountable institution to comply with any provision of the Act.

b) They can compel an accountable institution to cease contravening a provision of the Act.

d) None of the above.

48. The experience requirements for a CATEGORY II FSP Representative are:

a) All the general experience requirements must be met in respect of Category II and the subcategories concerned, and in addition the experience could have been gained in a team environment where the person participated in the process of making investment decisions but not whilst working under supervision.

b) All the general experience requirements must be met in respect of Category II and the subcategories concerned, and if the license changes to include the financial services in other subcategories, only the experience requirements of original Category must be met.

c) All the general experience requirements must be met in respect of Category II and the subcategories concerned, and in addition the experience could have been gained in a team environment where the person participated in the process of making investment decisions whilst working under supervision.

49. What are the client's rights if he / she wanted to terminate an agreement? Choose the CORRECT statement.

a) Clients can never terminate an agreement; once an agreement is signed the client cannot change the rules associated with the agreement.

c) Clients cannot terminate an agreement but they can lodge a complaint using the bank's complaints process.

d) Clients can terminate an agreement whenever they like, as this is their money.

50. In terms of the FAIS Act, records are to be kept in a certain way. Choose the CORRECT statement.

a) In a steel cabinet that is fireproof and is easily accessible.

b) In the basement of the office building and is easily accessible.

c) In a manner which is safe from destruction.

d) In a safe at the insurer's bank that is easily accessible.

51. Where a Representative adds a product category, he/she is required:

a) To only meet the honesty and integrity requirements.

- b) To obtain 50% of the experience requirements pertaining to that additional product category.
- c) To obtain 50% of the experience requirements pertaining to that additional product category within one year.

52. In which year did the Financial Intelligence Centre Act (FICA) become effective?

- a) 2001.
- b) 2002.
- c) 2003.
- d) 2004.

53. What is the purpose of Continuous Professional Development?

- b) To ensure that the FSP, Key Individual and Compliance Officer render a service with due care, competence and diligence with a continuing duty to maintain knowledge and skill.
- c) To ensure that the FSP, Key Individual and Representative render a service with due care, competence and diligence with a continuing duty to maintain knowledge and skill at a level to ensure that a client receives competent professional service.
- d) All of the above.

54. The sole proprietor FSP has different roles. Choose the CORRECT statement.

- a) That of a Key Individual and a Representative as well as a FSP.
- b) That of a Key Individual and a Compliance Officer.
- c) That of a Key Individual and a FSP.
- d) A and B.

55. Who determines if a Key Individual is Fit and Proper? Choose the CORRECT one.

- a) The FAIS Registrar.
- b) The Compliance Officer.
- c) The Long Term Insurance Registrar.
- d) All of the above.

56. Which of the following is TRUE?

A Representative:

- b) will always act for him/herself.
- c) can never operate as a Representative again if debarred once.
- d) can never be a Key Individual as well.

57. Which of the following apply to the FIC Act?

- a) Persons filing suspicious transaction reports are not guaranteed protection against criminal and civil liability for complying in good faith with the provisions of FICA and must therefore take care not to be identified.
- b) The reports required under the FIC Act for FAIS purposes, must be sent to the FAIS department at the FSB.

d) FICA requires only financial institutions, their managers and employees of such businesses to identify and report suspicious and unusual transactions to the Financial Intelligence Centre.

58. Which of the following statements is FALSE?

a) A Compliance Officer must be in a position to avoid conflict of interest between his/her and other employees and functions.

c) If the Compliance Officer does not have access to and support from senior management then they will lack the necessary authority required to do their job. It is up to the Key Individual to ensure that the correct channels of communication exist for the Compliance Officer.

d) There are different compliance reports for the different licence categories and the reports also differ between the FSPs with and without Compliance Officers.

59. Which of the following requirements are not applicable when a FSP receives money from a client without a bank being involved?

a) The FSP must issue a written confirmation when the money is received.

b) The FSP must pay the money into the bank account within one day of receipt.

d) Where the provider, or third party on behalf of either of them is in control of such financial products or funds, take reasonable steps to ensure that they are adequately safe guarded.

60. If a Representative does not meet one or more of the competence requirements by the cut off date:

- a) the FSP should give him a written warning and leave him on the rep register.
- b) he can continue to render financial services until he meets the requirements but must be supervised.
- c) he is not fit and proper and must be removed from the rep register.
- d) he can continue to render intermediary services only.

61. In which year was the FAIS Act promulgated?

- a) 2001.
- b) 2002.
- c) 2003.
- d) 2004.

62. Which actions define a breach in honesty and integrity within the FAIS Act? Choose the CORRECT description.

- a) Dishonesty and Fraud.
- b) Negligence and Incompetence.
- c) Mismanagement of funds.
- d) All of the above.

63. The Code of Conduct makes it clear that Representatives have to do a client profile assessment before offering advice. Choose the CORRECT statement.

- a) Obtain information from clients and keep records of advice given.
- b) Base their advice on the clients financial situation and needs.
- c) Act honestly and ethically in all dealings with clients.
- d) All of the above.

64. An administrative FSP has certain obligations towards the client. Choose the CORRECT one.

- a) To render to the client, on request any reasonable information regarding the financial products of the client and market practices and the risk inherent in the different markets and products concerned.

c) To obtain and transmit to a client any information which a relevant product supplier must disclose in terms of any law, unless the client specifically has requested in writing the administrative FSP not to provide such information.

d) A and B.

65. What is the definition of the “Forex Code”? Choose the INCORRECT one.

b) The Code of Conduct for FSPs and their Representatives involved in the overseas international investment business.

c) The Code of Conduct for FSPs and their representatives involved in the Forex investment business.

d) A and C.

66. What is the definition of “Financial Services” as indicated in the FAIS Act?

a) Rendering intermediary services and providing advice.

b) Providing advice or rendering an intermediary service.

c) Providing advice.

d) A and B.

67. A discretionary FSP renders certain services. Choose the INCORRECT one.

a) Intermediary services, advice.

b) Advice and intermediary services.

c) Advice or intermediary services.

d) A, B and C.

68. An FSP must have certain procedures in place. Choose the CORRECT statement.

a) Compliance procedures.

b) Disclose all conflicts of interest.

c) Maintain adequate accounting procedures.

d) All of the above.

69. A sole proprietor FSP is which of the following: Choose the FALSE statement.

a) A FSP, as a sole proprietor is the natural person, who "owns the business" (as opposed to a company or closed Corporation), and may be authorised/licensed as a FSP.

- b) The sole proprietor FSP may also fulfil the role of a Key Individual (who is the same person as the sole proprietor FSP)
- c) The sole proprietor may also be the Representative for the sole proprietor FSP.
- d) The sole proprietor also fulfils the role of a Compliance Officer.

70. As the owner of a policy, you as the client have to meet certain obligations. Choose the CORRECT one.

- a) You are entitled to the benefits of the policy.
- b) You are responsible for the payment of the premiums of the policy.

d) You are entitled to the benefits of the policy and are responsible to accepting the risk of the lives assured on the policy.

71. What is the POCA? Choose the correct definition.

- b) The Product of the Organised Crime Act.
- c) The Profits of the Organised Crime Act.
- d) The Proof of the Organised Crime Act.

72. What is the definition of “unlawful activity”?

- a) It is defined as any conduct which constitutes a crime or which contravenes any law.
- b) It is defined as any conduct which constitutes a crime or which contravenes any law and such conduct occurred in the Republic.

d) A and B.

73. A Compliance Officer has certain responsibilities, choose the INCORRECT statement.

- a) Needs to take responsibility for liaising with the Registrars.
- c) Monitor compliance within the FAIS Act.
- d) All of the above.

74. Choose the CORRECT statement that an individual has to register as a Representative? Choose one answer.

- a) If he/she renders financial services on behalf of a licenced FSP.
- c) If she is appointed as a personal assistant to Representative of a licenced FSP.
- d) If she is appointed as the training manager of the licenced FSP.

75. Which ONE of the following activities does NOT qualify as a Continuous Professional Development (CPD) activity?

- a) Courses.
- b) Conferences, workshops and seminars.
- c) Self-study programmes.

76. Who is the FSPs licence granted by? Choose the CORRECT statement.

- a) The South African Reserve Bank.
- b) The Insurance Institute.
- c) The Banking Council.
- d) The Financial Services Board.

77. What are the key licensing requirements for a Representative? Choose the CORRECT statement below.

- b) Number of employees in the organisation.
- c) Financial soundness for the FSP.
- d) Location and premises of the FSP.

78. What are the two main requirements of giving advice to clients?

- a) Establishing a good relationship with clients and suitability.
- b) Keeping a record of advice and making sure the FIC Act requirements are met.
- c) Keeping a record of advice and updating client details.
- d) Establish suitability of products and keeping a record of advice.

79. When may an urgent suspension or withdrawal of a licence happen? Choose the CORRECT statement.

- a) After the Registrar has obtained a court order.
- b) After the Registrar has consulted with all the parties.

d) All of the above.

80. What do Financial Services include? Choose the CORRECT statement.

- a) Instructions on the development of products.
- b) The rendering of advice and/or intermediary services.
- c) The processing of policy applications.
- d) Overseeing of the compliance processes.

81. When the FAIS Registrar informs the FSP to reinstate loss or damage, the FSP must do so within a prescribed period of time. Choose the CORRECT statement.

- a) Within 60 days after the direction was issued.
- b) Within 90 days after the direction was issued.
- c) Within 60 days after the business was closed.
- d) Immediately.

82. Disclosures on a financial product to a client that were supplied verbally must be confirmed in writing within a certain period of time. Choose the CORRECT one.

- a) 60 days.
- b) 10 days.

d) 5 days.

83. Choose the CORRECT statement which describes what type of complaints the FAIS Ombud can deal with.

- a) Mis-selling of long-term insurance products.
- b) Mis-selling of unit trust and investment products.

d) Conduct of Representatives who sold products after 01/11/2004.

84. The FAIS Registrar may consider certain information when an FSP applies for a licence. Choose the statement which is NOT considered.

- a) Only refer to the documentation submitted by the applicant.
- b) Consider additional information obtained from external sources without giving the applicant an opportunity to comment on the information.
- c) Consider additional information obtained from external sources provided the applicant was given opportunity to comment on the information.

85. What is the purpose of disclosures to a client within the FAIS Act? Choose the CORRECT statement.

- b) To enable the insurer to evaluate the risk.
- c) To be used as an agenda for a discussion with the client.
- d) To inform the representative of the attitude of the client towards the recommended product of the Registrar.

86. Choose the CORRECT statement that would describe the purpose of debarment.

- b) A FSP, under certain circumstances, is prevented from rendering financial services to clients.
- c) A compliance officer, under certain circumstances, is prevented from providing compliance service to clients.
- d) All the above

87. When can a licence of ANY FSP lapse? Choose the CORRECT statement.

- a) If the licensee is finally liquidated or dissolved.
- b) If the business of the licensee has become dormant.
- c) In any other case where the licensee voluntarily and finally surrenders the licence to the Registrar.

88. Under what type of circumstances could a Representatives debarment happen?

- a) A FSP grants the authority to a Representative to act on its behalf.

- c) A Representative retires.
- d) A Representative resigns

89. Who is the person PRIMARILY responsible for the debarment of a Representative? Choose the CORRECT statement.

- b) The Registrar.
- c) The Compliance Officer.
- d) The Money Laundering Officer.

90. What is the difference between the suspension and the lapsing of a licence? Choose the CORRECT statement below.

a) Suspension or withdrawal of a licence is the result of factors other than non-compliance with the requirements of the FAIS Act. Lapsing of a licence may be the result of a person's death.

c) Suspension or withdrawal of a licence is the result of noncompliance with the requirements of the FAIS Act. Lapsing of a licence is the result of a person not meeting the competency fit and proper requirement.

d) Suspension or withdrawal of a licence is the result of one's resignation from the services of an FSP. Lapsing of a licence is the result of factors other than non-compliance.

91. When a FSP removes a Representative's name from its Register for the purpose of debarment, what must the FSP do? Choose the CORRECT statement.

a) Inform the Representative in writing of the debarment only.

c) Inform him of the reasons for the debarment only.

d) Inform him of the conditions for lifting it only.

92. Choose ONE of the statements below that is an example of unethical behaviour in terms

of FAIS.

a) Depositing a client's funds into a separate account.

b) Driving at a speed higher than the speed limit to be in time for an appointment with a client.

d) Not keeping an appointment with a client.

93. Who does the accountability for being FAIS compliant fall to? Choose the CORRECT statement.

a) The Compliance Officer.

c) All senior managers.

d) All Representatives.

94. Why are Representatives debarred? Choose the CORRECT statement.

a) To give them an opportunity to complete their regulatory examinations.

c) When they work under supervision.

d) To enable them to gain experience.

95. Where a FSP voluntarily cancels its license the licence will only be lapsed. Choose the CORRECT statement that describes a lapsed licence.

a) On receipt of a written request from the Key Individual of the FSP or another person in control of the affairs of the licence holder.

b) If all levy payments are up to date.

c) If all annual compliance reports have been received.

d) All of the above.

96. The FAIS Registrar may withdraw the FSPs licence at any time. Choose the CORRECT reasons below why this could be done.

a) Did not disclose all relevant information to the Registrar during application for the licence.

b) Offered false or misleading information to the Registrar when applying for a licence

c) Contravened or failed to comply with FAIS in a material matter.

d) All of the above.

97. Choose the description of “withdrawal” of a licence by the FAIS Registrar.

- b) Withdrawal of a licence means that the Registrar conditionally removes a licence from a FSP.
- c) Withdrawal of a licence means that the Registrar suspends a licence from a FSP indefinitely.
- d) None of the above.

98. When can a licence that has been withdrawn by the FAIS Registrar be reinstated? Choose the CORRECT statement.

- a) When the FSP proves that he can meet the fit and proper requirements.
- c) When the FSP proves that he has the operational ability to maintain customer’s financial affairs.
- d) A and C.

99. Choose the CORRECT explanation of a suspended licence.

- a) Suspension of a licence occurs when the Registrar purposefully removes a licence of a FSP.
- c) Suspension of a licence occurs when the Registrar cancels the licence of a FSP.
- d) A and B.

100. Can a suspended licence be reinstated? Choose the CORRECT statement.

- b) No.
- c) Maybe.
- d) A and C.

101. A FSPs licence is granted by which governing body? Choose the CORRECT statement.

- a) Insurance Institute.
- c) The Banking Council.
- d) A and B.

102. To whom does the FAIS legislation apply? Choose the CORRECT statement.

- a) A Financial Services Provider.
- b) Key Individuals and Representatives.
- c) Employees of Financial Service Providers.

103. When may the FAIS Registrar suspend a FSPs licence? Choose the CORRECT

statement.

- a) When the licensee fails to meet the FAIS requirements.
- b) When the licensee does not display a certified copy of his licence on his business premises.
- c) When the licensee does not have a fixed telephone line.
- d) All of the above.

104. Which one of the following fit and proper requirements does not apply to Representatives?

- a) Honesty and integrity.
- b) Competency.
- c) Experience.
- d) Financial soundness.

105. Under which of the following circumstances may a licence lapse? Choose the CORRECT one.

- a) Only when the licensee has died.
- b) Only when the licensee voluntarily surrenders his licence.

d) When the licence is withdrawn.

106. In addition to a FSP who is authorized to debar a Representative or FSP? Choose the CORRECT statement

- a) The Registrar.
- b) The Financial Services Board.
- c) The FAIS Ombud.

d) The Banking Council.

107. Which of the following is NOT part of the monitoring role of the Compliance Officer?

a) Identifying and improving weak or vulnerable areas in the business.

b) Sample checking the advice that has been generated.

c) Ensuring that the compliance controls in the business are effective and implemented.

d) Testing or reviewing the integrity of the compliance controls.

108. Choose the CORRECT statements which are classed as offences in FAIS.

a) Failure to display a FAIS licence.

b) Failure to get a licence to operate as an FSP.

c) Failure to have the licence available when proof is requested.

d) All the above.

109. How often does the FSP have to pay the licensing fee? Choose the CORRECT statement.

a) On a monthly basis.

c) Once every three months.

d) Once every six months.

110. If a FSP is licenced, does the Key Individual that is employed by the FSP have to be licenced too? Choose the CORRECT statement.

a) Yes.

c) Only if the Key Individual is a permanent employee.

d) Only if the FSP does not meet the fit and proper requirements

111. There are certain details of their licence that a FSP needs to disclose to a client. Choose the CORRECT statement.

a) Details of the financial services that the FSP is authorised to provide.

b) Any conditions or restrictions to the FSPs licence.

c) Any exemptions granted to the FSP by the Registrar.

112. What might prompt a FSP to debar a Representative? Choose the CORRECT statement.

a) If the Representative is no longer fit and proper.

b) If the Representative has treated a client unfairly.

c) If the Representative has contravened or failed to comply with any provisions of FAIS.

113. When may Representatives still act as Representatives once debarred? Choose the CORRECT statement.

a) Only under supervision.

c) Only when a FSP is present.

d) A and C.

114. Direct supervision means:

a) the supervision of the financial services rendered by a Representative under the guidance, instructions and supervision of a supervisor and, which occurs on a monthly basis.

c) the way in, which supervision is exercised after the initial period of services under direct supervision has been completed.

d) supervision of records rendered by a third party Compliance Officer.

115. How often should the Representative register be updated?

a) Every month.

b) Bi-annually.

d) As soon as there are any changes to the Representative's fit and proper circumstances.

116. The FSB has three FAIS departments. Which of the following is not one of these?

b) Registration Department.

c) Supervision Department.

d) Enforcement Department.

117. Which one of the products listed below is not a “Financial Product”?

a) Shares in a company including a “Share Block” company.

b) Debentures and Securities.

c) Any money-market instrument.

d) A long-term or a short-term insurance contract or policy.

118. Debarment is:

a) To remove all individuals from rendering financial services to clients.

b) Not a requirement of the FAIS Act.

c) An optional extra.

119. Ongoing level of supervision means:

a) the supervisee still requires supervision, and such supervision occurs as, and when it is needed.

b) the supervision of the financial services rendered by a Representative under the guidance, instructions and supervision of a supervisor and, which occurs on a regular (ranging between daily and weekly) basis.

d) the supervision of all services within the FSPs by the Financial Services Board.

120. When may a sole proprietor FSP lapse its FAIS license voluntarily? Choose one answer.

b) In the event of the FAIS Regulator declaring it an undesirable business.

c) In the event of the FSP transgressing its licensing conditions.

d) When the license is withdrawn.

121. Which FAIS Department should be contacted with regards to Profile Changes?

a) Regulation Department.

c) Supervision Department.

d) Enforcement Department.

122. Telephonic conversations regarding the provision of financial services must be recorded and the records kept after the termination of the service being provided for at least:

- a) 3 years.
- b) 12 months.

d) 7 years.

123. A financial interest can be described as many things. Which statement does not describe a financial interest? Choose the INCORRECT one.

- a) A financial interest is cash or a cash equivalent.
- b) A financial interest is a voucher, gift or discount.
- c) A financial interest is an advantage or benefit.

124. Choose the CORRECT statement which describes the financial soundness requirements.

- a) Operational ability and competence.
- b) Capital adequacy.
- c) Liquidity.
- d) Capital adequacy and liquidity.

125. Which section of the FAIS Act allows the Registrar to debar both Key Individuals and Representatives?

- a) 15
- b) 12
- c) 14
- d) 18

126. What does FAIS stand for?

- a) Financial Advice Information Services.
- b) Financial Advisory Intermediary Services.

- c) Finance Act Information Services.
- d) None of the above.

127. From the statements listed below, which one is FALSE? Money laundering happens throughout the financial services sector and it is important that:

- a) Financial advisors and intermediaries know with whom they are doing business.
- b) The paper trail of transactions through the financial system can be identified and preserved.
- c) Possible money laundering transactions are identified and reported.
- d) Business relationships and transactions be kept for a period of six months.

128. The difference between lapsing, suspension or withdrawal of a FSP licence is:

- a) Suspension or withdrawal of a licence is voluntary and lapsing is initiated by the FAIS Registrar if there has been no business activities within the FSP.
- b) Suspension or withdrawal of a licence is initiated by the FAIS Registrar if there has been no business activities within the FSP.
- c) Suspension or withdrawal of a licence is initiated by the FAIS Ombud and lapsing of a licence is initiated by the FSP following an event, which gave reason for the lapse.
- d) Suspension or withdrawal of a licence is initiated by the FSP following an event, which caused it. Lapsing of a licence is initiated by the Registrar following an investigation of the affairs of the FSP.

129. Key Individuals need to ensure that there are adequate documented processes in place

to:

- a) Record the CPD hours.
- b) Record non-compliance.
- c) Record financial services.
- d) Record some information relating to services under supervision.

130. When did the FAIS Act become effective?

- a) 2002

- b) 2004
- c) 2006
- d) 2008

131. What is the definition for an “intermediary service”?

- b) Any recommendation, guidance or proposal of a financial nature, furnished by any means or medium to any client or group of clients.
- c) An analysis or report on a financial report without an express or implied recommendation, guidance or proposal that a transaction in respect of the product, meet the client’s needs, investment objectives or financial situation.
- d) An intermediary service by a product supplier, which is also a financial institution and regulated as such.

132. Which of the following is not a control measure introduced by FICA?

- a) Institutions must be able to establish and verify the identity of their clients.
- b) Institutions are not allowed to keep any records whatsoever.
- c) Institutions must report certain information.
- d) Institutions must implement measures that will assist them in complying with the FICA.

133. Which Regulatory Examinations for Representatives needs to be passed before the representative can assume his/her role? Choose the CORRECT one.

- a) Regulatory Examination Level 1 is not compulsory for Representatives.
- b) Representatives must first obtain the required qualifications before completing Regulatory Examination Level 1.
- c) Regulatory Examination Level 2 applies to Key Individuals only.
- d) Regulatory Examination Level 1 is compulsory for Representatives.

134. Which of the following is NOT a fit and proper requirement for Representatives?

a) Continued Professional Development.

c) Experience.

d) Qualifications.

135. When appointed by the FSP, the Key Individuals are then approved by which entity?

a) The company appointing the Key Individual.

b) The FSP.

d) The supervisor.

136. Who is the regulatory body of the FAIS Act?

b) The FAIS Ombud.

c) The Financial Intermediaries Association.

d) None of the above.

139. Where would you find the prescribed steps to be taken and the action to be taken when Representatives give advice to clients?

a) Financial Advisory Intermediary Services Act.

c) Financial Intelligence Centre Act.

d) National Credit Act.

140. From which body must the FSP get "approval" before sequestration, winding-up or closure of the business?

a) FAIS Ombud.

c) Financial Services Board.

d) Financial Intelligence Centre.

141. Compliance reports will be submitted to, which department?

a) Enforcement Department.

b) Registration Department.

c) Regulation Department.

142. Whose duty is it to monitor and report on whether or not the correct procedures are in place to ensure the security of confidential information?

a) Compliance Officer.

b) FSP.

c) Representatives.

d) Key Individuals.

143. The Registrar may, at any time suspend or withdraw any licence. He has to have all relevant facts before he can make that decision. Which one of the facts listed is NOT relevant to his decision? Choose the INCORRECT statement.

a) That the licensee no longer meets the requirements.

b) That the FSP did not, when applying for the licence, make a full disclosure of all relevant information to the Registrar.

c) That the FSP furnished false or misleading information

d) That the FSP showed a loss in premium income on the current financial year.

144. A licence lapses under certain circumstances. Choose the INCORRECT Statement.

a) Where the licensee is sequestered.

b) Where the licensee is finally liquidated or dissolved

c) Where the business of the licensee has become dormant.

d) When a licensee does not pay for the licence within 30 days.

145. With regard to a sole proprietor or closed corporation, the Key Individual is:

a) Not present.

b) Also the Financial Services Provider.

c) The Juristic person.

d) Also the FSP and the juristic person.

146. What duties fall within a Compliance Officer's scope?

- a) Ensuring all staff receive quarterly FAIS training.
- b) Ensuring all staff receive their FAIS qualifications.
- c) Ensuring all staff complete annual training reports.
- d) None of the above.

147. There are two MAIN requirements of giving advice. What are they?

- a) Establishing suitability and keeping a record of advice.
- b) Keeping a record of advice and sustainability.
- c) Sustainability and establishing suitability.
- d) Providing disclosures and keeping a record of advice.

148. FICA does not provide for:

- a) Regulation of access to information.
- b) The establishment and operation of the Financial Intelligence Centre and Money Laundering Advisory Council.
- c) Accept a complaint for investigation.
- d) Creation of money laundering control obligations for specific persons and institutions.

Level 2 Questions

1. Which of the following statements describe a Key Individual best?

- b) A person must be a senior manager or director to qualify for appointment as a Key Individual.
- c) Key Individuals may not act as Representatives for an FSP.
- d) In a sole proprietorship, it is not permissible for the Key Individual to also act as a Representative.

2. The FAIS Registrar exempted Representatives from meeting the competence requirements under certain conditions. This exemption applies to services under supervision.

Services under supervision will apply:

Choose one answer.

- a) to Representatives who are first appointed in a FAIS role from the first of January 2011.
- b) to Representatives who are first appointed in a FAIS role from the first of January 2010.

d) to Representatives who, on appointment, are exempted from the fit and proper requirements relating to full and partial qualifications if they meet the criteria.

3. As a Representative of TrustUs, you need to understand the requirements to comply with the FICA requirements embedded in the FAIS legislation.

Consider the following statements carefully and then choose the statement that is TRUE.

a) One of the objectives of FICA is to introduce control measures to assist the detection and investigation of credit granting activities.

b) In terms of FICA, accountable institutions are required to obtain statements from customers suspected to be laundering money.

d) FICA empowers the Financial Intelligence Centre to supervise the accountable institutions.

4. InsureMe, an authorised short term insurance provider appoints John as a representative and place him on the rep register. A complaint is later lodged against him for mis-selling. Who will be held responsible??

- a) John will be held entirely responsible.
- b) InsureMe and the compliance officer will be held responsible.
- c) The FSB will be held responsible.
- d) InsureMe will be held responsible

5. The General Code under Section 10 details the steps a Representative must take in the recording of the advice given. The records of advice for authorised FSPs and their Representatives involved in Forex Investment Business include one additional step, what is this?

- a) To record the investments owned by each client individually.
- b) To record a brief summary of the information and material on, which the advice was based.

c) To record the financial product or products recommended with an explanation of why the product or products selected, is or are likely to satisfy the client's identified needs and objectives.

d) To record the investments owned by clients collectively.

6. The Registrar may publish Codes of Conduct, which contain the detail of the requirements when FSPs and Representatives render financial services to clients. There are a number of Codes of, which the most important is the General Code of Conduct.

Which of the following is NOT covered in the General Code of Conduct?

a) Disclosure requirements.

b) Furnishing of advice.

c) Advertising and direct marketing.

d) Debarment of Representatives.

7. With regard to specific responsibilities of a FSP or Key Individual in respect of the actual supervision, the supervisor must observe selected meetings between the supervisee and customers. The frequency of this may vary depending on:

a) the complexity of the supervisee.

b) the complexity of the products offered.

c) the advice given by the supervisee for appropriateness.

d) exposure to the categories and subcategories provided in the financial service.

8. The FSP and Key Individual are responsible to ensure that the appointed FAIS Compliance Officer has adequate resources available to meet all the compliance requirements of the FAIS Act.

Which of the following is NOT the responsibility of the Compliance Officer?

a) To submit regular reports to the Registrar as required by the Act.

b) To supervise the compliance function.

c) To monitor compliance with the FAIS Act as per Section 17 of the Act.

9. When a Representative terminates their employment or mandate with an FSP, thus ending their representation, what are the Representatives obligations in terms of the General Code of Conduct?

a) To inform the FAIS Registrar.

b) To notify the FSB in writing.

- c) To consult with clients and product suppliers.
- d) There are no specific obligations.

10. There are certain timelines that have to be met for successful completion of the experience, qualifications, regulatory examinations and CPD requirements. Failure by a Representative to meet the competency requirements by the relevant date means that the FSP is required to take appropriate action. Which statement is TRUE?

- b) Ensure compliance within a time period of two years from application.
- c) Ensure compliance within a time frame of three years.
- d) None of the above.

11. All Key Individuals have to meet certain criteria regarding management experience before they will be approved by the Registrar. One of the statements below reflects the required criteria, choose the CORRECT one.

- a) The Key Individual needs to have product-specific experience as it relates to the subcategories that the Key Individual is responsible for.
- b) The Key Individual needs to have five years practical experience in the management of a business.

d) All of the above.

12. There are certain Regulatory Examinations that Representatives need to complete before they can act as a Representative. Which one is a requirement for a Representative? Choose the CORRECT one.

- a) Regulatory Examination Level 1 is not compulsory for Representatives.
- b) Regulatory Examination Level 1 is compulsory for Representatives.
- c) Representatives must first obtain the required qualifications before completing Regulatory Examination Level 1.
- d) Regulatory Examination Level 2 applies to Key Individuals only.

13. In Section 13 of the FAIS Act, certain duties and responsibilities on FSPs are imposed. Which of the following statements is INCORRECT?

- a) If a Representative was debarred, he can never operate as a Representative again.
- b) FSPs must take reasonable steps to ensure that Representatives comply with applicable Codes of Conduct and with other applicable laws on conduct of business.

c) Nobody may provide Financial Services to clients for or on behalf of unauthorised FSPs who are not exempted from the FAIS Act.

d) All of the above.

15. If a Representative is found guilty of misconduct regarding the Code of Conduct and is no longer Fit and Proper, what will be the restrictions imposed? Choose the CORRECT one.

a) The Representative will be placed under supervision and left on the register.

b) The Representative will be left on the register but with a note that he is not Fit and Proper.

d) All the above

16. When a FSP wants to appoint a Representative, it may do the following to establish if a Representative indeed meets the requirements for honesty and integrity requirements:

a) The FSP may only rely on declarations made by the Representative.

c) The FSP may only rely on declarations made by the Representative and contact previous employers.

d) The FSP is limited with regard to means it may use to establish if a Representative meets the requirements for honesty and integrity requirements

17. Which of the following statements is FALSE in respect of the Representatives register?

a) The FSP must have a register of all Representatives and Key Individuals employed or mandated by the FSP.

b) The Representatives register must be updated every 30 days and sent to the FSB.

c) Updates to the Representatives register include any changes in the fit and proper circumstances of either a Representative or Key Individual and these changes are reflected on the register.

d) If a Representative or Key Individual is no longer employed by an FSP then the individual must be removed from the list completely.

18. Section 24(3) stipulates that if the accountable institution appoints a third party to keep records on its behalf, then particulars of the third party keeping records on behalf of the accountable institution must be provided to which body?

a) Financial Ombuds Centre.

b) Financial Intelligence Centre.

c) Financial Intelligence Centre Act.

d) Money Laundering Act.

19. The Exemption for Representatives appointed for the first time into a FAIS role between 30 September 2004 and 31 December 2009 states that:

- b) Those Representatives are obliged to render financial services under supervision whilst obtaining a Qualification, or completing the Regulatory exam.
- c) The Exemption is not subject to additional conditions as long as the Representative was appointed during the stated period.
- d) Those Representatives will have to comply, in respect of the experience requirements set for the Representative at the date of appointment

20. The Act requires that certain prescribed information be recorded on a record of advice. Which of the following statements is FALSE?

- a) A record of advice is required to contain the financial product or products recommended
- b) A record of advice must contain detailed and comprehensive information and material on which the advice was based;
- c) A record of advice must contain an explanation of why the product or products selected, is or are likely to satisfy the client's identified needs and objectives;
- d) A record of advice must contain the financial products which were considered;

21. Non-compliance occurs when people do not adhere to statutory regulatory and supervisory requirements. You will be seen as non-compliant with FAIS when you ignore the regulations in FAIS. What is the fine for non-compliance?

Choose the CORRECT statement.

- a) A fine of an amount determined by the Registrar.
- b) A fine of an amount not exceeding R10 000.00.
- c) A fine of an amount not less than R10 000.00.
- d) None of the above.

22. There are certain requirements that need to be met when an FSP receives money from a client without a bank being involved. Which one of the following requirements is NOT applicable?

- a) The FSP must pay the money into the bank account within one day of receipt.
- b) The FSP must issue a written confirmation when the money is received.
- c) The FSP must pay the money into the bank account within one month of receipt.

d) None of the above.

23. Mpho has been found guilty of misappropriating client's funds by his FSP WeInsure. What should they do?

a) WeInsure should immediately dismiss Mpho.

b) WeInsure should issue Mpho with a fine and command him to compensate his clients.

d) WeInsure should inform law enforcement to send a warrant for his arrest.

24. There are different product categories and subcategories in the FAIS Act. Which of the following is NOT a subcategory?

a) Securities and Instruments; Debentures and securitised debt.

b) Participatory Interests in one or more collective investment schemes.

c) Friendly Society Benefits.

d) Retail Insurance Benefits.

25. When dealing with complaints the Ombud must be independent and impartial. The objective of the Ombud is to consider and dispose of complaints. What is the manner in which the Ombud must deal with a complaint? Choose the CORRECT statement.

a) In a fair manner.

b) In an informal manner.

c) In an economical and expeditious manner.

d) All of the above.

26. When a Representative furnishes financial advice, what regarding the premium should a Representative disclose to the client? Choose the CORRECT one.

b) The admin charges.

c) The broker commission.

d) The premium per section of the policy.

27. Once a policy has been issued, which one of the following is required for quality assuring a policy? Choose the CORRECT statement.

b) That the administrator issuing the policy has a relevant qualification.

c) That the policy schedule has similar amounts to those quoted.

d) All of the above

28. In order for an intermediary to collect premiums, he must comply with certain conditions. Which of the statements are not requirements? Choose the INCORRECT one.

a) Have a separate bank account for premium collection.

b) Be authorised by the insurer in writing.

c) Be a member of a professional body.

29. Representatives working in Category II, IIA and III must have the following to qualify for the exemption:

a) Representatives working in these categories must have a degree which meets the qualification requirements when appointed by the FSP.

b) Representatives working in these categories must have a degree and similar professional qualification which meets the qualification requirements when appointed by the FSP.

d) Those Representatives will have to comply, in respect of the experience requirements set for the Representative at the date of appointment.

30. The Registrar of FSPs specifies the way in which compliance reports must be submitted. Read the following statements carefully and choose the statement which is FALSE.

a) Reports have to be in written form and signed by the Compliance Officer.

b) Reports must be submitted to the Registrar by the Compliance Officer.

d) Reports have to be accompanied by financial statements.

31. Choose one statement below that DOES NOT describe the aspects that need to be considered before proposing a product to the client.

a) The FAIS Act states that a client must be offered a product that matches his specific needs.

b) Establish the amount of additional income the client has to meet his financial goals.

c) Establish the client's experience and financial know how.

d) None of the above.

32. There is a time period that the FSP has to adhere to regarding the confirmation of information provided to the client. Choose the CORRECT amount of days that is required. How many days does an FSP have, to confirm the information provided to the client verbally, regarding product supplied?

- a) Within 45 days from date of transaction.
- b) Within 30 days from date of transaction.
- c) Within 12 months from date of transaction.
- d) Immediately.

33. To give the client a fair advantage of making an informed decision, how should FSPs format and work their terms and conditions within a contract? Choose the CORRECT one.

- a) All terms and conditions have to be clearly set out in the format of marketing material.
- b) All terms and conditions have to contain legal language applicable to the Specific Code.

d) All terms and conditions have to be set out clearly; however, they must never include the rights of the client.

34. The FAIS General Code of Conduct prescribes that certain disclosures should be made during the Representative's interaction with the client. When should these disclosures be made? Choose the Correct statement.

- a) At contact stage.
- b) At quotation stage.
- c) At contact and quotation stage.
- d) At quotation and acceptance stage.

35. FSPs and Representatives have certain responsibilities with regard to qualifications of Representatives and duties of FSPs towards the maintenance of the FAIS license as contained in Section 13 of the FAIS Act.

Which statement describes such a responsibility best?

- a) Nobody may act as a key individual for a FSP unless the person can confirm to clients (certified by the FSP) that s/he has an employment or mandate agreement with the FSP, to represent the FSP and that the FSP accepts responsibility for the activities of the key individual performed in terms of the agreement.

b) The Board of Directors must at all times take reasonable steps to ensure that Representatives comply with applicable codes of conduct and with other applicable laws on conduct of business.

d) If a representative was debarred, s/he can never operate as a representative again.

36. The FICA imposes certain following duties on accountable institutions. Which of the following statements are FALSE with regard to these duties?

- i. Accountable institutions may keep certain records.
- ii. Accountable institutions may report certain information.
- iii. Accountable institutions must be able to establish and verify the identity of their clients.
- iv. Accountable institutions must implement measures that will assist them in complying with the FICA.

a) i and iv only

b) i and iii only

c) i and ii only

d) ii and iv only

37. Consumers of financial products have the right to complain about any inappropriate advice given or service rendered in relation to a particular financial product. What is the correct amount for the complaint to be considered by the Ombud? Choose the TRUE amount.

a) The claim must exceed R800 000.00

b) The claim must not exceed R700 000.00

c) The claim must not exceed R800 000.00

d) None of the above

38. When you lodge a complaint with the FAIS Ombudsman, do you as a client have to pay a fee? Choose the INCORRECT one.

a) A standard administration fee

b) A fee as determined by the Ombudsman

d) A standard administration fee which is determined by the Ombudsman

39. The role of the FAIS Ombud is to settle disagreements between the client and an FSP. When is he allowed to do this? Choose the CORRECT one.

a) Where the amount of money involved in exceeds R800 000.00.

c) Where the disagreement relates to services provided by the FSP in which they did not comply with the FAIS Act.

d) Only when the client wants to cancel the insurance contracts.

40. The FAIS Act prescribes that the FSP must keep records regarding the payment of a claim for a certain period of time. What is the prescribed period? Choose the CORRECT one.

a) For a maximum of 5 years after payment of the claim.

c) For a maximum of 3 years if records are stored at an off-site facility.

d) For a minimum of 7 years if the deceased died an accidental death.

41. There are certain requirements that have to be met regarding record keeping in terms of the FAIS Act. Which statement is TRUE?

a) The FSP must store all records on its premises.

b) The FSP must store records off-site only with special permission.

d) The FSP must store records in electronic format only with special permission in a facility that cannot be destroyed.

42. How must a complaint that has been lodged with the FAIS Ombud be completed? Choose the CORRECT statement.

a) Writing a letter and with it send a copy of the insurer's final response.

b) Completing a complaint form.

c) Sending correspondence from the FSP regarding the complaint.

43. When a complaint is lodged with the FAIS Ombud, what language should be used?

Choose the CORRECT one.

- b) The language specified in the contract only.
- c) In English only.
- d) The language as instructed by the Ombud.

44. Once a complaint has been lodged with the FAIS Ombud, what is the duty of the FAIS Ombud in regard to the client's complaint? Choose the CORRECT one.

- b) Inform the client that he only deals with complaints up to R700 000.00.
- c) The Ombud takes steps to settle the disagreement by each party having a lawyer present, when he considers the complaint.
- d) The Ombud takes steps to settle the disagreement by having all the parties present to state their case.

45. Any FSP with more than one Key Individual or one or more Representatives must, appoint one or more Compliance Officers to monitor compliance within the Act. Choose the INCORRECT statement.

- a) A Compliance Officer must be approved by the Registrar.
- b) A Compliance Officer must be appointed in accordance with the criteria and guidelines determined by the Registrar.

d) A and B

46. When a licence has been suspended the Registrar must within a reasonable time after receipt of any response consider the response and may decide to take action. Which action is the CORRECT action to take?

- a) The Registrar can lift the provisional suspension or have it withdrawn.
- b) The Registrar may render the suspension or withdrawal final.
- c) The Registrar must make known the terms of and reasons for final suspension or withdrawal, or the lifting thereof, by notice in the Gazette.

47. The FAIS Act makes provision for Codes of Conduct to be part of the enforceable legislation.

How is this relevant?

- a) To ensure any changes in the financial industry can be enforced via legislation.
- c) It is not relevant.
- d) None of the above.

48. Which one of the following is not a main role player in the complaints resolution process? Choose the Correct one.

- a) Complainant.
- c) Respondent.
- d) Ombud.

49. What is the requirement instituted under the FIC Act, 38 of 2001 which the Accountable Institutions need to adhere to? Choose the INCORRECT statement.

- a) Accountable Institutions need to identify and verify their clients.
- c) They need to keep records of all transactions.
- d) All of the above.

50. If an employee of an accountable institution accepts money from a client, which is suspicious, what does the employee have to do according to FICA? Choose the statement that does NOT apply.

- a) The employee must report the suspicious transaction via his company's internal procedure.
- b) The employee may not inform the client he has reported the transaction.

d) A and B

51. There are prescribed accountable institutions in terms of FICA. Choose the one that is not an accountable institution.

- a) An attorney.
- b) An estate agent.

c) A bank.

52. The definition of money laundering is defined as an activity which is the effect of concealing the proceeds of unlawful activities. Choose the description that does NOT apply.

a) Money laundering disguises the nature and source of "dirty money".

b) It disguises the movement of the proceeds of the unlawful activities.

d) None of the above.

53. If a staff member or organisation does not comply with FICA, there are certain penalties that can be imposed on the staff member or organization. Choose the penalty that would be imposed.

a) A maximum prison sentence of 15 years or a fine not exceeding R1 0000 000.00.

b) A maximum prison sentence of 15 years.

d) All of the above.

54. Once a suspicious transaction has been reported and the authorities have investigated, The FIC must obtain information on the unlawful activities. How would they go about obtaining such information? Choose the INCORRECT statement.

a) They can apply for a warrant to access records.

b) They can apply for a warrant to access records provided that there are reasonable grounds to believe that the records will assist in identifying the proceeds of unlawful activities.

d) B and C

55. Certain documentation is required from a South African citizen for identification and verification purposed in line with FICA. Choose the statement that does NOT apply to an SA citizen.

a) A copy of a green, barcoded ID book.

b) A utility bill for proof of residential address.

d) A bank statement from another bank reflecting your name and address.\

56. What is described as an unlawful activity under FICA? Choose the CORRECT description.

- a) Tax evasion.
- b) Drug trafficking.
- c) Theft.

57. There are prescribed principles that must be taken into account before the Registrar can declare the practice undesirable, including:

- a) The business practice must have had a direct or indirect effect during the preceding two months resulting in harming the relations between FSPs or any FSP or category of FSPs, and clients or the general public.
- b) The business practice must have, or is likely to have, a direct or indirect effect resulting in the Ombud making determinations against brokers.
- d) The business practice must have, or is likely to have, a direct or indirect effect resulting in the share price of the affected FSPs declining.

58. There are certain restrictions and conditions in relation to the functions of Representatives.

Read the following statements carefully and choose the INCORRECT statement.

- a) A Representative may only represent a Key Individual.
- b) A Representative may represent a FSP.
- c) A Representative must maintain their Fit and Proper status.
- d) A Representative may not be reinstated once debarred.

59. Any person who benefits from illegal activities under FICA is guilty of an offense. The penalties are harsh and include one of the following: (choose the CORRECT one).

- a) A maximum fine of R1 0000 000.00.
- b) Imprisonment of up to 30 years.
- c) A maximum fine of R1 0000 000.00 and imprisonment of up to 30 years.
- d) None of the above.

60. “Dirty” money is disguised in certain investments so that the illegal funds avoid detection. How are the profits disguised? Choose the CORRECT one.

- a) Property and vehicles
- b) Life assurance investments
- c) Travellers cheques
- d) All of the above

61. The law within FICA has a number of control measures aimed at facilitating the detection and investigation of money laundering. Which one of the control measures below does NOT apply?

- a) Intermediaries of behalf of the financial institution must know with whom they are doing business (verification).
- b) A paper trail of transactions through the financial institution must be preserved (record keeping).

d) Possible money laundering transactions must be reported to the investigating authorities.

62. The need to maintain adequate records is to give effect to provisions of FICA and to assist the investigation and prosecution of crime. What is the prescribed period that records need to be kept? Choose the CORRECT one.

- a) For at least 5 years from the date on which the business relationship is terminated.
- b) For at least 5 years from the date on which the transaction is concluded.
- c) For at least 5 years from the date of filling the suspicious transaction.

63. Foreign nationals must provide certain documents to the accountable institution at which they are opening an account or investing money. Which document is NOT a requirement?

- a) An issued identity document with his name and date of birth on it.
- b) A legal document that indicates his nationality.
- c) A legal document with his passport number on.

64. A person rendering services to clients in respect of the FAIS Act, 2002 must apply for a licence in terms of the Act. What are the consequences if a licence is not applied for before he / she may render a service? Choose the CORRECT one.

- b) It may lead to suspension.
- c) It may lead to a fine.
- d) All of the above.

65. The law requires the intermediary to make certain disclosures to his/her clients. Indicate which of the following detail is NOT a disclosure requirement.

- a) The intermediaries' relationship with the FSP.
- c) The product supplier or suppliers that the intermediary represents.
- d) The services and products that the intermediary can offer to the client.

66. FICA provides in section 45 that it is the responsibility of supervisory bodies to supervise compliance with the Act by the institutions under their supervision. Which one of the following is NOT a supervisory body?

- a) The Financial Services Board.
- b) The South African Reserve Bank.
- c) The National Gambling Board.
- d) The Post Office.

67. When a CATEGORY I FSP changes its license to include other financial services or other subcategories: (Choose the CORRECT option)

- b) the experience requirements of the other subcategories must be met provided that if the change includes additional financial service (advice and intermediary service), the Representative must obtain 100% of the experience requirements applicable to the additional financial services (as indicated in the applicable Table)
- c) the experience requirements of the other subcategories must be met provided that if the change relates to an additional subcategory the Representative must obtain 80% of the experience requirements applicable to the additional subcategory (as indicated in the applicable Table).
- d) the experience requirements of the other subcategories must be met provided that if the change relates to an additional subcategory the Representative must obtain 50% of the experience requirements applicable to the additional subcategory (as indicated in the applicable Table).

68. The law requires that the Registrar may withdraw the FSP's licence at any time. Choose the CORRECT one.

- a) If the FSP did not disclose all relevant information to the Registrar during applying for the licence.
- b) If the FSP offered false or misleading information to the Registrar when applying for the licence.
- c) If the FSP failed to comply with FAIS in a material manner.
- d) All of the above.

69. A FSP may also lose its licence due to lapsing. Choose the CORRECT statement. Lapsing may happen when,

- a) The FSP forgets to pay the annual licence fee.
- b) The FSP makes a business decision not to offer their product any longer.
- c) The FSP makes a business decision to only offer their product quarterly.
- d) The FSP is sequestrated.

70. All Key Individuals must meet critical Fit and Proper requirements. Choose the INCORRECT statement. Fit and Proper includes:

- a) Honesty and Integrity.
- c) Operational ability.
- d) All of the above.

71. A Representative is defined as a person who represents a FSP under contract of employment. Which contract of employment may apply? Choose the CORRECT one.

- a) A temporary contract of employment.
- b) A casual contract of employment or an outsourced person.
- c) A consultancy agreement.

72. There are certain licensing requirements that have to be met, which are the main licensing requirements?

- b) The number of employees in the organisation.
- c) Financial soundness of the FSP.
- d) Personal character and financial soundness.

73. The FSPs licence is granted by which governing body? Choose the CORRECT one.

- a) The South African Reserve Bank.
- b) The Insurance Institute.
- c) The Banking Council.

74. All FSPs, Key Individuals and Representatives need to meet specific requirements and criteria to be able to render a service and be licenced. Choose the CORRECT one.

- a) Honesty and integrity.
- b) Competence (qualifications and experience).
- c) Management ability.

75. The Financial Intelligence Centre Act has certain objectives. Which of the following statements is NOT AN OBJECTIVE OF FICA?

- a) To process, analyse and interpret information disclosed to it and obtained by it in terms of FICA, POCA and POCDATARA.
- b) To inform, advise and co-operate with investigating authorities.
- c) To monitor and give advice to accountable institutions, supervisory bodies and other persons regarding the performance of their duties and compliance with the provisions of the Act.
- d) To supervise regulatory bodies in terms of FICA.

76. Key Individuals are responsible for certain processes within the industry. Which statement is NOT a responsibility within their job function?

- a) Managing and overseeing the activities relating to the FSP.
- b) Key Individuals bring both technical and managerial skill to their organization.

- c) Legal and accounting reporting.
- d) A and C.

77. Continuous Professional Development has three main aims. Which of the following is NOT one of these?

- a) Develop and maintain professional competence in order to provide financial services of a high quality in the public interest that will support the professionalisation of the Financial Services Industry.
- b) Understand that the primary responsibility of competence vests in the individual, and that they have an obligation to develop and maintain their professional competence.

d) Render financial services with due care, competence and diligence with an ongoing duty to maintain knowledge and skill at a level required to ensure that the client receives competent professional service based on up-to-date developments in legislation and the Financial Services Industry.

78. Category I, Subcategory 1.8, Securities and Instruments, Shares is described in the FAIS Act as:

- a) Shares in a company other than a share block company.
- b) Shares in two companies that share a financial interest.
- c) Share Blocks Control Act.
- d) None of the above.

79. Which of the following statements are TRUE with regard to the record keeping requirements of the FIC Act?

- a) Records can only be kept manually.
- c) The documents used to identify and verify clients as well as records of all transactions must be retained for a period of at least five years from the date on which the business relationship was started.
- d) In terms of Section 24 (1), the record keeping obligation may not be outsourced to a third party.

80. Any person wanting to offer a financial service in respect of a financial product will need a licence. The Registrar will not issue a licence unless the FSP and Key Individual are able to meet all the requirements. Which one of the following statements is NOT a requirement and is INCORRECT?

- a) Personal qualities of honesty and integrity.
- b) Competence and operational ability.

d) Financial soundness.

81. Where a supervisory body grants any licence or approval to carry on a business, the applicant has to comply with the certain obligations imposed by the Act. Which obligations must NOT be met?

- a) He / she are a “fit and proper” person.
- c) He / she have not been involved in any terrorist related activities.
- d) He / she have not contravened any laws.

82. There are certain “financial soundness” requirements that an applicant for a licence to practice as a FSP must meet. Which requirement is FALSE?

- a) An applicant must not be an un-rehabilitated insolvent.
- b) An applicant must not be under liquidation or provisional liquidation.

d) None of the above.

83. The definition of a short-term investment is a means of short-term savings for the fulfilment of unforeseen circumstances. What is the time period that is generally used?

- b) Generally less than 18 months.
- c) Generally less than 24 months.
- d) Generally less than 36 months.

84. If a client decides to make use of a specific insurance product, but has not got the time to

complete the necessary forms. What would the General Code of Conduct specify? Choose the CORRECT one.

- a) In terms of the Code the client must be helped quickly. Provide the client with the forms and ask him to sign the documents. The client is well known to the FSP and he can trust that the FSP will complete the rest of the information later.

- c) The Code states that the client must be assisted timeously.
- d) All of the above.

85. There are general competency requirements for Representatives that need to be met at date of their appointment by a FSP. Choose the INCORRECT statement.

- a) Have the minimum experience requirements.
- b) Have all the required qualifications.
- c) Have all the required qualifications (unless the Representative works under supervision).
- d) Must have completed all Regulatory Examinations.

86. A representative is required by the FAIS General Code of Conduct to make certain disclosures during his interaction with the client. At which stage should these disclosures be made? Choose the CORRECT one.

- a) Contact stage and quotation stage.
- b) Quotation stage and acceptance stage.
- c) Contact stage only.
- d) Quotation stage only.

87. Which of the following roles may be fulfilled by a Key Individual in terms of FAIS?

Choose the CORRECT roles.

- a) Managing and overseeing the FSPs business.
- b) Compliance and auditing.
- c) Being a Key Individual and a Representative.
- d) Being an accountant and Key Individual.

88. What is the definition of Continuous Professional Development (CPD)?

Choose the CORRECT definition.

- b) A process of learning with the aim to enable a FSP, Key Individual or Representative to perform competently within the categories they render financial services in.
- c) A process of learning and development with the aim to enable a FSP and Representative to perform competently within the categories they render financial services in.

d) A and C.

89. There are different license categories and subcategories in the FAIS Act. Which of the following is NOT an example of a product subcategory under Category II?

- a) Forex Investment Business.
- b) Long-term Insurance Category.
- c) Securities and Instruments; Bonds.
- d) Friendly Society Benefits.

90. The Registrar may suspend or withdraw a FAIS license, subject to certain conditions. Which statements are TRUE regarding suspension and withdrawal of licenses?

i. The Registrar may suspend or withdraw any license if the Registrar is satisfied on the basis of available facts and information that the licensee did not, when applying for the license, make full disclosure of all relevant information to the registrar, or furnished false or misleading information.

ii. The Registrar may suspend or withdraw any license if the Registrar is satisfied on the basis of available facts and information that the licensee no longer meets the requirements of Section 8 of the Act.

iii. The Registrar may suspend or withdraw any license if the Registrar is satisfied on the basis of available facts and information that the licensee still owes levies, penalties or administrative sanctions to the FSB and hasn't paid it.

iv. The Registrar may suspend or withdraw any license if the Registrar is satisfied on the basis of available facts and information that the licensee closed business or is dead.

- a) i and iii only.
- b) i and ii and iii only.
- c) iii and iv only.
- d) i and iv only.

91. The definition of "financial interest" includes the following:

- i. Cash, Cash equivalent.
- ii. An ownership interest.
- iii. Domestic/foreign travel, Hospitality, Accommodation, Sponsorship.
- iv. Training (as long as it is not exclusive) on products, legal matters relating to products.

Choose one answer.

- a) i and iii
- b) i and ii and iii
- c) i and ii and iv
- d) ii and iii and iv

92. What are the CPD programmes or activities approved by the Registrar for the purpose of determining development? Choose the CORRECT one

- a) Industry or professional conferences, seminars and workshops.
- b) Financial services specific or Professional qualifications.
- c) Product Seminars, attendance at Industry road shows and Industry training.
- d) A, B and C.

93. Continuous Professional Development is applicable to certain providers, choose the CORRECT statement.

- a) Financial Service Providers, Key Individuals and Representatives.
- b) Financial Service Providers, Key Individuals and Compliance Officers.
- c) Key Individuals and Compliance Officers.
- d) Financial Service providers.

94. There are specific conditions that apply to a provider. Choose the INCORRECT statement.

- a) A FSP (who is a sole proprietor), Key Individual and Representative are required to record individual achievements regarding CPD with the Registrar for reporting purposes.
- b) A FSP, Key Individual and Representative are required to record all travelling expenses and personal achievements regarding CPD with the Registrar for reporting purposes.
- c) A FSP, Key Individual and Representative are required to record all travelling expenses and personal achievements regarding CPD with the Registrar for reporting purposes.
- d) None of the above.

95. Providers are required to log CPD activities using the on-line CPD Register of the Financial Services Board. What information is required to be provided? Choose the CORRECT one.

- a) The title and date of activity/programme.
- b) The institution providing the CPD activities.
- c) The number of learning hours.
- d) All of the above.

96. What is the definition of a Sole Proprietor Financial Services Provider? Choose the UNTRUE definition.

- a) A FSP, as a Sole Proprietor is the natural person, who is the owner of the business and will be authorised as a FSP.
- c) The Sole Proprietor is also the Representative for the sole proprietor FSP.
- d) All of the above.

97. A FSP and a sole proprietor FSP must satisfy specific competence requirements before approval. Choose the requirement that is NOT required.

- a) Certain minimum experience.
- b) Relevant qualifications.
- c) The completion of a licensing application.
- d) The completion of appropriate Regulatory Examinations.

98. The Sole Proprietor FSP must, on the date of approval, before applying, have at least one year's practical experience (this applies to Categories I, II, IIA, III and IV) in the management or oversight of the activities of a business. What are the restrictions regarding the experience required?

Choose the statement that is FALSE. Choose one answer.

- a) The experience could have been gained in intermittent periods, not more than 5 years, prior to the application and includes experience gained prior to the implementation of the FAIS Act.
- b) The experience may have been gained in the management and oversight of services similar to or corresponding to the services rendered by the FSP.
- d) A and C

99. Section 8 of the FAIS Act deals with the issues relating to the application to become a Financial Services Provider.

The FAIS Registrar may:

Choose one answer.

- a) not impose conditions or restrictions on the (FAIS) FSP license, only the Insurance Registrar can do that.
- c) not impose any conditions imposed after the date of granting the license.
- d) not impose conditions if a Key Individual is replaced by a new Key Individual or a new Key Individual is appointed or takes up office.

100. The FAIS Act introduced certain key role players. Below is a description of some of the role players.

Read each statement carefully and then choose the statement that is FALSE.

- a) Key Individuals are employed by an FSP and a Key Individual may function both as FSP and Key Individual.
- b) Representatives are appointed by Financial Service Providers, and they typically render the financial service to clients on the FSP's behalf.
- d) None of the above.

101. Which of the following statements is FALSE?

Key Individuals or FSPs have certain responsibilities in relation to the management of services under supervision.

- a) The FSP/Key Individual must satisfy the Registrar that the business has the financial ability to provide services under supervision.
- b) The FSP/Key Individual must satisfy the Registrar that there is a competent person to act as supervisor (can be the FSP or the Key Individual or a Representative) and that person must only have supervisory experience.
- c) The FSP/Key Individual must place the supervisees who are getting the experience in the subcategories in respect of, which they are appointed or in a position where he or she can gain experience in the specific subcategory.

102. Section 34 of the FAIS Act empowers the FAIS Registrar to declare a particular business practice "undesirable" for all categories of Financial Services Providers.

As a Representative of TrustUs, you need to understand the implications for a FSP if the Registrar publishes notice regarding an "undesirable business practice".

The principles, which the FAIS Registrar must consider before s/he can declare a practice undesirable include:

- b) That the directors and/or management must have committed fraud or theft.
- c) There are prescribed principles that must be taken into account before the Registrar can declare a practice undesirable and this includes that the business practice must have a direct effect resulting in the loss of funds.
- d) That the FAIS Registrar must publish an intention to declare a business practice as undesirable only in the national and local media.

103. Within the FSB there are three departments that a Key Individual needs to be aware of. These three departments are the Registration Department, the Supervision Department and the Enforcement Department. Key Individuals will liaise with each FAIS division in the execution of their duties. Which of the following is incorrect?

The departments are responsible for the following:

- a) The Registration Department is responsible for new licence applications, profile changes, updating the central Representative register, approval of mandates and application forms for discretionary FSPs and administrative FSPs, lapsing of licences, queries on licence status and collection of levies together with the FSB Finance Department.
- c) The Supervision Department is responsible for the implementation of a risk-based approach to supervision of Financial Service Providers, analysis of financial statements and compliance reports, conducting onsite visits to FSPs and Compliance Officers and liaising with the industry relating to changes in legislation.
- d) The Enforcement Department is responsible for dealing with complaints against FSPs that cannot be referred to the FAIS Ombud, and conducting onsite visits to FSPs and Compliance Officers.

104. According to Section 18 of the FAIS Act, which records from the list below need to be kept?

- a) Records of known premature cancellations.
- b) Records of complaints received.
- c) Records of ongoing compliance by Representatives.
- d) All of the above.

105. Representatives need not be licenced under FAIS. However, due to the fact that they work for an FSP who is licenced, they need to comply with the Fit and Proper requirements and be listed in the FSP's Representative Register.

Which of the following statements is FALSE with regard to the fit and proper requirements, which a Representative needs to meet?

- a) Honesty and integrity.
- b) Competence.
- c) Relevant qualification.
- d) 5 years management experience.

106. AskMe Inc is a holding company for TrustUs. Trust us have outsourced some of their work to Advice Abounds. Mark, Jenny and Sipho are Key Individuals at AskMe, TrustUs and Advice Abounds respectively. Talana, Faizal and Rebecca are Representatives at AskMe, TrustUs and Advice Abounds respectively. Who can be classified as a juristic Representative?

- a) AskMe.
- b) TrustUs.
- c) Advice Abounds.
- d) AskMe and TrustUs.

107. Which of the following statements is FALSE with regard to the requirements to act as a supervisor?

- b) A supervisor may be a key individual of the FSP who meets the requirements pertaining to honesty and integrity and who has completed an appropriate Qualification and at least the level 1 regulatory exams.
- c) A supervisor may be a Representative of the FSP who meets the requirements pertaining to honesty and integrity and who has completed an appropriate Qualification and at least the level 1 regulatory exams.
- d) A supervisor may be an authorized financial services provider being a natural person (example a sole proprietor FSP).

108. Prior to providing advice to a client, the FSP or its Representative must take reasonable steps to obtain from the client certain information to be able to advise the client correctly. Which statement is TRUE?

- a) Financial situation.
- b) Financial product experience.
- c) Financial objectives.
- d) All of the above.

109. The FSP must conduct an analysis based on information obtained from the client. The FSP can then identify the financial product appropriate for the client. What type of analysis should be conducted? Choose the CORRECT one.

- a) Risk profile.
- b) Financial needs analysis.
- c) Risk profile and financial needs analysis.
- d) Compiling an Audit report.

110. When a FSP receives or holds financial products or funds for the client, the provider has to ensure certain requirements. Choose the statement which is CORRECT.

- b) Take reasonable steps to ensure they are adequately safeguarded.
- c) Ensure that the original agreement is delivered to the client for safe custody.
- d) A and B.

111. There are certain processes that an administrative FSP may not directly or indirectly do. Choose the process that he may NOT do.

- a) Sell any financial products owned by the administrative FSP to any client.
- b) Buy for his / her own account any financial product owned by any client.
- c) Ensure that he has access to the client's bank account.

112. In order to determine the client's requirements the FSP/Representative would have to do a need analysis for the client. This would include specific information that the FSP/Representative would need to get from the client. Which statement is FALSE and is NOT required?

- a) How much the client earns (total income).
- b) How much of his income is available for savings and investment purposes.
- c) What type of transactions the client needs to carry out and how many per month.

113. If the administrative FSP gives or receives notice of termination of an agreement for any reason, the FSP must inform which governing body once the termination of agreement has been signed.

- a) The Ombud.
- b) The FAIS Registrar.
- c) The Reserve Bank.
- d) A and B.

114. The specific control objectives of risk management include that the internal control procedures of a business must be structured to provide assurance that:

- a) some applicable laws are complied with.
- b) financial and other information used or provided by the Registrar will be reliable.
- c) the relevant business can be carried on in an orderly and efficient manner.
- d) the relevant business can be terminated when required.

115. Which one of the following is NOT a financial product as defined by FAIS

- a) Deposits.
- b) Investments.
- c) Insurance.
- d) Loans.

116. The FAIS Act states that a client must be offered a product that matches his specific needs. Choose ONE statement below that best describes the aspects that need to be considered before proposing a product to the client.

- a) Establish the amount of additional income the client has to meet his financial goals.
- c) Establish the client's experience and financial know how.
- d) Establish the client's purpose and knowledge of the investment.

117. The FSP has to identify the purpose of a clients investment, why is this important?
Choose the CORRECT answer.

- a) To establish whether the client understands financial products.
- b) To establish if he needs to be referred to by another financial institution.

- c) To establish whether the client has realistic financial goals.
- d) All of the above.

118. How many days does an FSP have, to confirm the information provided to the client verbally, regarding product suppliers if a transaction takes place?

- a) 12 months from date of transaction.
- b) Within 45 days from date of transaction.
- c) Within 30 days from date of transaction.
- d) With immediate effect.

119. Relevant contracts required by a Discretionary FSP include, but are not limited to certain criteria. Choose the CORRECT one.

- a) Mandates from clients.
- b) Contracts with other FSPs.
- c) Contracts with third party service providers.
- d) All of the above.

120. Product Suppliers must disclose certain information to the client at the earliest possible opportunity. What is the information that has to be disclosed? Choose the CORRECT one.

- a) The name, physical location, postal and telephone contact details of the product supplier.
- b) The contractual relationship with the FSP.
- c) Names and contact details of relevant compliance and complaints departments of the product supplier.
- d) All of the above.

121. When a client decides to take out a policy, he must receive certain information. Choose the CORRECT statement.

- a) A brochure summarising the features of the policy.
- b) A letter with the details of the insurer and the policy number.

d) A letter summarising the terms and conditions of the policy.

122. Janet has to follow certain criteria to ensure that Tom's business is Fit and Proper and meets all the FAIS requirements according to the administrative process within FAIS.

Read the following FAIS requirements carefully and choose the INCORRECT statement.

a) Maintain a register of Representatives.

b) Be satisfied that at all times the Representatives are Fit and Proper.

d) Display a certified copy of the licenses within every business premises.

123. A Representative will discuss the details of the policy contract with the client. Why does the Representative have to do this?

a) To ensure that the client knows when the premiums of the policy are due and how they will be paid.

c) To ensure that the client knows whom to contact when he/she wants to claim the benefits on the policy.

d) To ensure that the client knows the percentage of commission earned by the FSP.

124. A non-disclosure of information affects the risk of a funeral policy, what will the result of non-disclosure be? Choose the CORRECT statement.

a. A waiting period being imposed on the policy.

b. An exclusion of all accidental deaths.

c. The non-payment of funeral benefits.

d. An exclusion of all deaths relating to natural causes.

125. Choose the CORRECT legislation that governs money laundering in South Africa.

a) The Financial Intelligence Centre.

b) The Prevention of Organized Crime Act.

c) The Protection of Constitutional Democracy Against Terrorism and Related Activities.

d) All of the above.

126. The FAIS Act stipulates that all records are to be kept in a format that is easily accessible and must be available to the client within a certain period of time, once requested. Choose the CORRECT period of time.

- a) 2 days.
- b) 4 days.
- c) 5 days.

127. The Compliance Officer needs to submit a written report to the FSP. How often does this need to be done? Choose the CORRECT time period that it is required within.

- b) Quarterly.
- c) Half yearly.
- d) Yearly.

128. Before suspension of the FSPs licence, what must the FAIS Registrar decide? Choose the CORRECT statement.

- a) The FSP of the intended period of suspension.
- b) The FSP of any terms attached to the suspension.
- c) The FSP of any outstanding fees regarding decision to suspend.

129. When deciding whether a business has undesirable business practices, the Registrar must consider whether the business practice must have, or is likely to have, a direct or indirect effect. Choose the CORRECT result desired.

- a) Harming the relations between FSPs.
- b) Unreasonable prejudice to clients.
- c) Deceiving any client.

130. What decisions could the FAIS Registrar make at his discretion on receipt of the application for a licence? Choose the CORRECT one.

- a) Approve the application but always impose conditions.
- c) Always authorise the issue of the licence without conditions.
- d) Refuse the application based on the discretion of the Registrar.

131. Which of the following requirements does not have to be complied with for a Representative to remain licenced in terms of FAIS?

- a) The appointment of a personal assistant.
- b) Payment of annual licence fees.
- c) Compliance with the relevant codes of conduct.
- d) Compliance with all the provisions of FAIS and other legislation affecting his sub-sector.

132. Once the Registrar has declared a practice undesirable, what may the FSP NOT do?

- a) May not continue with the practice under supervision of the Registrar.
- b) May not carry on with the practice after the date of the Registrar's declaration.
- c) May not carry on with the practice for six months.

133. When the Registrar intends to suspend or withdraw a licence, what could the licensee do? Choose the CORRECT statement.

- a) Entitled to be given a reasonable opportunity to make a submission in this regard.
- b) Entitled to appeal against the decision.
- c) Not allowed the opportunity to make a submission in this regard.
- d) Allowed to continue working for another three months in order to conclude all outstanding business.

134. Choose the CORRECT statement of circumstance in which a licence may lapse?

- a) Only when the licensee has died.
- b) Only when the licensee voluntarily surrenders his licence.

d) When the licence is withdrawn.

135. The FAIS Ombud is mandated to investigate and adjudicate complaints by clients against FSPs and Representatives. What could the complaints relate to?

- b) The complaints could relate to a financial service being rendered negligently before 30 September 2003.

- c) The complaints could relate to a financial service being rendered negligently before 30 September 2002.
- d) If the maximum amount of the alleged loss or damage amounts to R500 000, 00.

136. There are certain purposes for disclosure of financial products to a client. Choose the statement that CORRECTLY describes the purposes.

- b) To enable the insurer to evaluate the risk.
- c) To be used as an agenda for a discussion with the client.
- d) To inform the Representative of the attitude of the client towards the recommended product.

137. What does the FIC Act require the FSP to keep records of?

- a) Proceeds of insurance products or investments that are paid out on maturity.
- b) The number of Representatives working for it.

d) Annual reports.

138. Which of the following are not included in the definition of a Financial Product in terms of FAIS?

- a) Shares and debentures.
- b) Money market instruments.
- c) Health service benefits.

139. When deciding whether a business is dealing in an undesirable business practice, the FAIS Registrar must consider whether the business practice must have, or is likely to have, a direct or indirect effect resulting in:

- a) Harming the relations between FSPs.
- b) Unreasonable prejudice to clients.
- c) Deceiving any client.

140. If the FSP does NOT adhere to the FAIS Registrar's ruling regarding an undesirable business practice, a fine of not more than a certain amount may be issued. Choose the CORRECT statement.

- a) R10 000 000 or imprisonment of not more than ten (10) years, or both may be imposed.
- b) R1 000 000 or imprisonment of not more than ten (10) years, in the alternative, may be imposed.
- c) R1 000 000 or imprisonment of not more than ten (10) years, or both may be imposed.
- d) None of the above .

141. If the Registrar is convinced that these "requirements" regarding the ruling found are met, choose the CORRECT procedure that will happen after the FSP is informed.

- a) The Registrar must publish an intention to make the declaration in the Gazette, and provide reasons and invite written Representations to the Registrar.
- b) The declaration then gets published and the FSP concerned must stop with the business practice on or after the date of publication in the Gazette (this refers to the actual declaration, not the intention to declare).
- c) If the FSP carries on with the business practice after the date of publication, the Registrar may inform the FSP to rectify or reinstate to the satisfaction of the Registrar, any loss or damage which was caused by or arose out of the carrying on of the business practice concerned.

142. One of the following statements reflects all the actions with regard to complaints that the FAIS Ombud is entitled to use his discretion with. Choose the CORRECT statement.

- a) The Ombud may dismiss a complaint or uphold it.
- b) The Ombud may dismiss a complaint, uphold it or refer it to a court.
- d) The Ombud may uphold a complaint or decline it if it is received three years after the date of the issue of the complaint.

143. FSP's must register for a licence with the FAIS ACT. Choose the CORRECT statement regarding licencing.

- a) Only be registered for one licence.
- b) Only have various licences but for the same product categories.
- c) Only apply for one licence.

144. Choose the INCORRECT statement regarding the requirements that the FAIS Representative is not required to disclose according to the FAIS General Code.

- a) Make adequate disclosures.
- b) Maintain adequate and appropriate record-keeping.

d) Keep client's funds safe and separate.

145. Representatives have to keep their knowledge up to date by completing CPD activities over a 3-year cycle, depending on their category or sub-category. Choose the CORRECT time frame that needs to apply.

- a) Between 15 and 30 hours.
- c) Between 10 and 30 hours.
- d) Between 10 and 60 hours.

146. Which statement is INCORRECT and does NOT describe the “intermediary service”

within the FAIS act?

- a) “Intermediary service” means any activity other than the furnishing of advice that is performed by a person for or on behalf of a client or product supplier.
- b) “Intermediary service” means that it has to relate to a financial product.

d) None of the above.

147. The FSP must inform the Registrar in writing of the removal of a Representative's name from its Register. What is the time period in which this must be done? Choose the CORRECT statement.

- a) Within 5 days of the removal of the Representative's name.
- b) Within 30 days of the removal of the Representative's name.
- c) Within 10 days of the removal of the Representative's name.
- d) Within 15 days of the removal of the Representative's name.

148. Which of the following statements is TRUE regarding the suspension, withdrawal and lapsing of a licence?

- b) Lapsing of a licence is initiated by the FSB following an event that gave reason for the lapse.
- c) There are provisions in the Act for the reinstatement of a lapsed licence.
- d) There are severe implications in terms of other legislation when a FAIS licence lapses.

149. Choose the CORRECT statement which is a condition for re-appointment of a FSP after debarment as a result of causes other than a lack of competence?

- a) 6 months must have elapsed since the debarment date.
- b) Only the fit and proper requirement of competency must have been met.
- c) 12 months must have elapsed since the debarment date.
- d) Only the fit and proper requirement of honesty and integrity must have been met.

150. What are the reasons for debarment of a Representative by a FSP? Choose the CORRECT reason listed below.

- b) Poor work performance.
- c) Only if the Representative has contravened or failed to comply with any provisions (other than the fit and proper provisions) of the Act.
- d) Only non-compliance with any of the relevant fit and proper requirements.

151. The Registrar is allowed to publish information on the debarment of representatives. Choose the CORRECT reason that the Registrar may do this.

- a) Because it is an official duty of the Registrar in terms of FICA.
- b) Because it is newsworthy.
- c) Because it is an official duty of the Registrar in terms of FAIS.

152. There are certain steps a FSP has to take once he has debarred a Representative. What are the steps to be taken? Choose the CORRECT statement.

- a) Un-concluded business of the debarred Representative is cancelled.
- b) Clients of the debarred Representative are informed that no further financial services could be rendered to them.
- d) All records of the debarred Representative's clients are destroyed.

153. When the Registrar intends to suspend or withdraw a licence, what are the licensee's rights regarding the intention of the Registrar? Choose the CORRECT statement.

- a) Entitled to be given a reasonable opportunity to make a submission in this regard.
- b) Entitled to appeal against the decision.
- c) Not allowed the opportunity to make a submission in this regard.
- d) Allowed to continue working for another three months in order to conclude all outstanding business.

154. What are the powers that the Registrar has dealing with non-compliance by a FSP or Representative? Choose the CORRECT statement below.

- a) To determine penalties for punitive purposes.
- b) To declare a business an undesirable practice.
- c) To apply for a court order restraining a FSP from continuing to commit non-compliance related acts in future.
- d) All of the above.

155. Choose the correct example of a FSP contravening FAIS in a material matter.

- a) The FSP lacks the qualifications necessary to maintain the customer's affairs efficiently.
- b) The FSP does not have a fixed business address.
- c) The FSP does not have a fixed business address.
- d) B and C.

156. In terms of Section 34 of the FAIS act, WHO may declare a particular business practice to be undesirable? Choose the CORRECT statement.

- a) The FAIS Ombud.
- b) The FAIS Compliance Officer.
- c) The FAIS Compliance Officer.
- d) The Financial Services Board.

157. When can the licence of a financial Service Provider be suspended or withdrawn? Choose the CORRECT statement.

- a) When a FSP is debarred.
- b) When the FSP no longer meets the fit and proper requirements.
- c) When the licensee no longer meets the FAIS requirements.

158. When can the licence of a FSP lapse? Choose the CORRECT statement.

- a) When the FSP dies.
- b) When the FSP is sequestrated.
- c) Where the business of the licensee has become dormant.

159. What must the FAIS Registrar inform the FSP of when considering the suspension of their licence? Choose the CORRECT statement.

- a) The intended period of the suspension.
- b) The reasons for the suspension.
- c) The information of the person who made the complaint that led to the suspension.

160. What are the main objectives of the FAIS Act? Choose the CORRECT statements.

- a) To ensure that all the FSPs are fit and proper.
- b) To ensure that clients are informed about the products that they have purchased.
- c) To ensure that the insurance industry does not charge inflated premiums.

161. Who may impose conditions regarding the FAIS licence applied for? Choose the CORRECT statement.

- a) The FAIS Ombud.
- c) The Compliance Officer.
- d) A and B.

162. Once a licence has been issued by the FAIS Registrar, what are the requirements of the FSP regarding such a licence? Choose the CORRECT statement.

- a) Display a certified copy of the licence in his business premises.
- b) Ensure the licence is available to any person requesting proof of the licence.
- c) Ensure reference to licence contained in business documentation, advertisements and promotional material.

163. The FAIS Registrar may, by notice in the Gazette, declare a particular business practice undesirable. What would they consider to be undesirable business practices? Choose the CORRECT statement

- a) Harm to clients.
- b) Prejudice to clients.
- c) Deceiving of clients.

164. When does an individual have to register as Representative?

- b) If she renders admin services on behalf of a licenced FSP.
- c) If she is appointed as a personal assistant to Representative of a licenced FSP.
- d) If she is appointed as the training manager of the licenced.

165. The key licencing requirements for Representatives include certain criteria. Choose the CORRECT one.

- b) Number of employees in the organisation.
- c) Financial soundness for the FSP.
- d) Location and premises of the FSP.

166. The Registrar issues the licence for a FSP. What may the FSP apply for regarding licensing? Choose the CORRECT statement.

- a) Only be registered for one licence.
- b) Only have various licences but for the same product categories.
- c) Only apply for one licence.

167. There are certain duties and responsibilities imposed on FSPs. Choose the CORRECT statements which describe this.

- a) If a Representative was debarred, he can never operate as a Representative again.

- b) FSPs must take reasonable steps to ensure that Representatives comply with applicable Codes of Conduct and with other applicable laws on conduct of business.
- c) Nobody may provide financial services to clients for or on behalf of unauthorised FSPs who are not exempted from the FAIS Act.
- d) B and C

168. May the FAIS Registrar use information obtained from external sources to debar a Representative or FSP? Choose the CORRECT statement.

- a) Yes.
- b) No .
- c) Sometimes, it would depend on the situation.
- d) Only if the debarred person agreed.

169. For the compliance and non-adherence to the FAIS Act and related legislation, who within an FSP is overall responsible?

- a) The Representative.
- b) The Key Individual.
- c) Compliance Officer.
- d) The FSB.

170. Read each statement carefully and then choose the statement that is FALSE.

- a) Representatives are appointed by the FSP, either through employment or through a mandate type agreement and act on behalf of the FSP.
- b) The FSP carries the responsibility for the actions of Representatives and needs to include the required information about the Representatives in the Representative register.

d) The FAIS Registrar does not issue licences to Representatives and the Registrar does not approve Representatives either.

171. Consider the following statements carefully and then choose the statement that is FALSE.

- a) The FAIS Act was introduced to regulate the business of all Financial Service Providers who give advice or provide intermediary services to clients, regarding a wide range of financial products.

b) Administration of the FAIS Act is done by the FAIS Registrar. The Registrar has defined functions, powers and obligations.

d) The enforcement part of the FAIS Act deals with the FAIS Ombud and related matters. It also deals with civil remedies, undesirable practices, offences and penalties, voluntary sequestration, winding-up and closure.

172. Once the FAIS Registrar has declared a business practice undesirable, the FSP:

- a) may not continue with the business practice for a period of three months.
- b) may not continue with the business practice for a period of six months.
- c) may continue with the business practice under supervision of the FAIS Registrar.

173. Whenever there are changes:

- a) in the information relating to the FSP, or Representatives or Key Individuals, the FAIS Department must be notified within 45 days of such changes and these changes are called Profile Changes.
- b) in the information relating to the Representatives or Key Individuals only, the FAIS Department must be notified within 15 days of such changes and these changes are called Profile Changes.
- c) in the information relating to the FSP licence only, the FAIS Department must be notified within 15 days of such changes and these changes are called Profile Changes.

174. Consider the following statements carefully and then choose the statement that is FALSE.

a) The FAIS Act was introduced to regulate the business of all Financial Service Providers who give advice or provide intermediary services to clients, regarding a wide range of financial products.

b) Administration of the FAIS Act is done by the FAIS Registrar. The Registrar has defined functions, powers and obligations.

d) The enforcement part of the FAIS Act deals with the FAIS Ombud and related matters. It also deals with civil remedies, undesirable practices, offences and penalties, voluntary sequestration, winding-up and closure.

175. FSP's, Key Individuals and Representatives all need to meet specific requirements.

Choose the INCORRECT requirement which applies to all.

- a) Honesty and integrity.
- b) Competence.
- c) Qualifications and experience.
- d) Management experience in all the products.

176. The FAIS Registrar is an Executive Officer of the FSB. In terms of the FAIS Act the Registrar is empowered to implement certain rulings. Which statement below is INCORRECT with regard to the power of the Registrar?

- a) Approach a court for an order restraining a person from contravening the Act.
- b) Applying to the court for an order requiring a person to take remedial steps.
- c) Declare a business practice undesirable by giving notice in the gazette and thereby prohibiting the FSP from continuing practice.
- d) The Registrar may not, suspend or withdraw the licence of an FSP.

177. Choose which statement describes Long-Term Insurance Category C.

- b) It means pension fund benefits provided by retirement annuity and / or preservation pension and/ or preservation provident funds as defined in the Long Term Insurance Act, 1998.
- c) It means financial products combining the policy features of all of the above policies as defined in the Long Term Insurance Act, 1998.
- d) None of the above.

178. There are certain measures available for consumer protection purposes within the FAIS legislature, when consumers receive inappropriate advice,

Which one of the following is INCORRECT?

- a) The consumer can approach the Ombud.
- b) The consumer can institute civil proceedings based on delictual liability.
- c) The consumer can institute civil proceedings based on breach of contract.
- d) None of the above.

179. In order to be licensed, providers have to prove that they are Fit and Proper in terms of the Fit and Proper requirements. Operational ability is one of the requirements that need to be met.

Which one of the minimum requirements listed is NOT required?

- a) Must have a fixed business address from which business is conducted.
- b) Adequate financial resources to conduct business.
- c) Adequate storage and filing systems for the safe-keeping of records.
- d) An account with a registered bank including where necessary, a specific trust account for client moneys.

180. There are certain requirements under the Financial Intelligence Centre Act, 2001 (Act No. 38 of 2001) which an applicant must have in place. Which one of the procedures listed below is required?

- a) Provision for training of staff.
- b) Provision for record keeping.
- c) Provision for reporting procedures.
- d) All of the above.

181. The FAIS Act was instituted to protect the Consumer to regulate the business of all Financial Service Providers who give advice on Financial Products. Which of the following does the Act NOT aim to achieve?

- a) Professional Conduct.
- b) Better informed clients.
- c) A professional, responsible Insurance Industry.
- d) Protection of rights of the Financial Service Provider.

182. The following statements describe product categories and subcategories. Read each statement carefully and then choose the statement that is FALSE.

- a) Product Category I includes the subcategories Long-term Insurance Category A and Long-term Insurance Category C.
- b) Product Category I includes the subcategories Short-term Insurance Personal Lines and Retail Pension Benefits.
- c) Product Category II includes the subcategories Long-term Insurance Category A and Long-term Insurance Category C.
- d) Product Category II includes the subcategories Securities and Instruments; Money market instruments and Participatory Interests in one or more collective Investment schemes.

183. Objectives of the Prevention of Organised Crime Act (POCA) do not include:

- a) to criminalise racketeering and create offences relating to activities of criminal gangs.

b) to criminalise money laundering and create a number of serious offences in respect of laundering and racketeering.

d) to create a mechanism for criminal confiscation of proceeds of crime and for civil forfeiture of proceeds.

184. Which of the following apply to the FAIS licence?

a) A FSP must display certified copies of its FAIS licence clearly in every head office and regional office and must ensure that all business documentation, advertisements and other promotional material refers to the licence.

b) A FSP must display copies of its FAIS licence clearly in every business premises and must ensure that all business documentation, advertisements and other promotional material refers to the licence.

d) A FSP must display certified copies of its FAIS licence clearly in every business premises and need only ensure that advertisements refer to the licence.

185. In addition to the requirements of Section 18 of the Act, the General Code also requires certain record keeping obligations to be met. These records relate predominantly to telephonic and written communications with clients. Which of the following requirements must be in place in terms of Section 11 of the General Code?

a) The records and documentation must be kept safe from destruction.

b) There must be adequate systems and procedures in place to enable FSPs to keep the records for five years after a product was terminated, but only if the FSP was aware of the termination.

c) The FSP must have adequate systems and procedures in place to record verbal and written communications relating to the provision of financial services to clients.

d) Record keeping may be outsourced as long as the records are available for inspection within seven days of such a request by the Registrar.

186. When Representatives provide financial services it is critical that customers are informed about the commission payable and that the disclosure requirements are adhered to.

What needs to be disclosed to clients?

a) Remuneration, also known as valuable consideration, which is payable to a provider must be disclosed but not the identity of the product supplier who is paying it.

c) Where the maximum commission amount or rate is prescribed by law, it must state that the amount is not determinable.

d) The Forex Intermediary must disclose to a client only cash related incentives offered or other indirect consideration payable to the Forex Intermediary because of the intermediating on the client's investments.

187. FSP's and their Representatives must adhere to certain basic principles when rendering services in respect of Financial Products. Choose the INCORRECT statement:

a) They need to comply with all legal requirements applicable to the conduct of business.

b) They must avoid conflicts of interest.

c) They have to have and maintain appropriate systems to ensure performance of professional activities.

d) They need no product experience.

188. A person will not be able to act as a Representative of an authorised FSP unless he/she is able to provide confirmation, certified by the FSP to the client. Which statement is INCORRECT?

a) That a service contract or another agreement to represent the FSP exists.

b) The FSP accepts responsibility for the activities of the Representative falling within the contract.

c) The FSP is liable for the conduct of their Representatives.

189. The compliance provisions within an organisation have to be met by the Financial Services Provider. Listed are some of the compliance provisions; choose one that is NOT a compliance provision.

a) Control measures.

b) Specific control objectives.

c) Reporting functions.

190. The definition of Advice is defined in FAIS as any recommendation, guidance or proposal of a financial nature furnished, by any means or medium, to any client or group of clients. Which of these products does it NOT refer to?

a) The purchase of any Financial Product.

b) The investment in any Financial Product.

c) To the receiving of any liability or the acquisition of any right or benefit in respect of any Financial Product.

191. Different pieces of legislation create the various Registrars that regulate FSP's, Representatives and the respective product suppliers. Which one of the following is NOT a FSB Registrar?

- a) The Registrar of Financial Services Providers.
- b) The Registrar of Long-term Insurers.
- c) The Registrar of Short-term Insurers.

192. It is very important for a FSP to disclose all relevant information regarding the Financial Product that the client is investing in so that the client is in a position to be able to make an informed decision relating to a financial product. There are three key areas in the rendering of Financial Services to the client. Which one is NOT one of the key areas?

- a) Information about the product supplier.
- b) Information about the product provider.
- c) Information about the FSPs internal Code of Conduct.
- d) Information about financial services

193. When a FSP has sold a financial product to a client, the FSP must separately disclose the charges and fees that are additional to the financial product sold. Which statement is part of the disclosure and therefore TRUE?

- a) The recipient of the fees and charges.
- b) The currency in which it will be charged.
- c) How much was already paid to the recipient.
- d) All of the above.

194. A conflict of interest is a situation in which a FSP or a Representative renders a financial service to a client that would potentially benefit the FSP or Representative.

Which statement is INCORRECT and does NOT describe a conflict of interest?

- a) When it influence his performance or its obligations to the client.

- b) When it prevents a Provider or Representative from rendering an unbiased and fair financial service to a client.
- c) When it prevents him from acting in the interest of a client.
- d) When the Representative is employed full time by the FSP.

195. Which of the following statements is TRUE?

The following applies to the Regulatory Examinations for Representatives.

- a) Regulatory Examination Level 2 applies to Representatives and Key Individuals.
- b) Regulatory Examination Level 1 is not compulsory for Representatives.

d) Representatives must first obtain the required qualifications before completing Regulatory Examination Level 1.

196. Which of the following is NOT one of the main objectives of the FAIS Act?

- a) To ensure that all the Financial Service Providers sell various products.
- b) To ensure that the insurance industry does not charge inflated premiums.
- c) To ensure all customers are treated fairly.
- d) None of the above.

197. The Money Laundering Control Regulations prescribe the identification and verification requirements for clients of accountable institutions ranging from:

- a) SA citizens & residents.
- b) Foreign nationals and corporations.
- c) South African companies, close foreign companies, partnerships and trusts.
- d) All of the above.

198. One of the areas where a conflict of interest could emerge is within the structure of the FSP. If the Compliance Officer does not have access to and support from senior management, they will lack the necessary authority required to do their job.

Who will be held personally responsible for ensuring the correct channels of Communication exist for the Compliance Officer?

- a) The Compliance Officer.

- b) The Key Individual.
- c) The Representative.
- d) The FSB.

199. Where a financial product is being replaced by another financial product held by the client:

- a) Disclosure must be made of the actual and potential financial implications.
- b) Only disclosure of the actual financial implications must be made.
- c) Only disclosure of the costs and consequences of the replacement must be made.
- d) Only disclosure of the potential financial implications must be made.

200. Regulatory requirements ensure smooth operation and a standard of behaviour by all affected parties. The requirements for advertising ensures: (choose the CORRECT statement)

- a) Ethical behaviour between all interested parties.
- b) Standards are set to follow when designing advertisements regarding content.
- c) All advertising needs to be done in an open and honest way
- d) All of the above.

201. A conflict of interest includes in its definition any situation in which a FSP or Representative has an actual or potential conflict of interest which would negatively affect the client. Which one of these statements is INCORRECT?

- a) When it influences the objective performance of the product supplier.
- b) When it influences the objective performance of the underlying investments.
- c) When it influences the objective performance of the FSP or representative.
- d) When it influences the objective performance of the Registrar.

202. The General Code requires an FSP to structure the internal control procedures so that it reassures the client as to the validity of their business.

Which statement is TRUE and describes the control procedure?

- a) That the relevant business can be conducted in an orderly and efficient manner.
- b) That financial and other information used or provided by the FSP will be reliable.
- c) That all applicable laws are complied with.
- d) All of the above.

203. A person may only act as a Compliance Officer of an FSP where that person has been approved by the Registrar. This approval is subject to the Compliance Officer possessing personal qualities of honesty and integrity as well as satisfying the prescribed competency requirements. Which one of these statements is INCORRECT?

- a) He/she needs to have an appropriate qualification.
- b) He /she needs to have at least three years' experience in a compliance or risk management function in the Financial Services Industry.
- c) He /she needs to have one year risk management experience.
- d) He/she needs to be an accredited member of the Compliance Institute of South Africa or of any other organisation recognised by the Registrar as being appropriate for this purpose and have at least three years' experience in a compliance or risk management function in the Financial Services Industry.

204. FAIS requires an FSP, except when exempted by the Registrar, to maintain records for a minimum period of five years regarding certain information. Which statement is TRUE?

- a) Records of premature cancellations of transactions or financial products by clients of the Provider must be kept.
- b) Complaints received together with an indication of whether or not any such complaint has been resolved must be kept.
- c) The continued compliance by representatives with the requirements must be kept.
- d) All of the above.

205. Where an accountable institution outsources its responsibility to keep records to a third party, the accountable institution must provide the Financial Intelligence Centre with the prescribed particulars regarding that third party. Which one is NOT an accountable institution?

- a) An attorney as defined in the Attorneys Act, 1979 (Act 53 of 1979).
- b) A board of executors or a trust company or any other person that invests, keeps in safe custody, controls or administers trust property within the meaning of the Trust Property Control Act, 1988 (Act 57 of 1988).
- c) An estate agent as defined in the Estate Agents Act, 1976 (Act 112 of 1976).

206. When a FSP advertises his financial service telephonically, he is required to maintain records. How long are these records to be kept for when NO TRANSACTION was entered into? Choose the CORRECT one.

- a) 45 days.
- b) 90 days.
- c) 180 day.
- d) 365 days.

207. The financial products in respect of which a Discretionary FSP may render financial services as listed in Section 1 of FAIS only covers certain policies. See the policies listed below and choose the CORRECT one.

- a) Securities and instruments
- b) A participatory interest in one or more collective investment schemes
- c) A long-term or a short-term insurance contract or policy, referred to in the Long-Term Insurance Act, 1998 (Act No. 52 of 1998), and the Short-Term Insurance Act, 1998 (Act No. 53 of 1998).
- d) All of the above.

208. Read each statement carefully and then choose the statement that is TRUE. One of the aims of Continuous Professional Development is to ensure:

- b) that all the role players spend 20 hours per year for five years on updating skills and knowledge.
- c) that Representatives complete their CPD hours whilst working under supervision.
- d) that Representatives get sufficient knowledge to complete the Regulatory Examinations.

209. If the FSP does not adhere to the Registrar's directive, what is the maximum penalty that may be imposed according to Section 36 of the FAIS Act?

- a) R1 000 000 fine and/or 10 years imprisonment.
- b) R10 000 fine and/or 10 years imprisonment.
- c) R10 000 fine and/or 1 year imprisonment.
- d) R10 000 000 fine and/or 5 years imprisonment.

210. Why should the Key Individual be familiar with the compliance report?

- a) They are responsible for signing off the report.
- b) They should be familiar with all areas of the business.
- c) They are responsible for writing the report.
- d) They do not need to be familiar with the compliance report.

211. Records in a register, file, electronic recording or a written comment of information about a transaction or event needs to be kept by the FSP (unless the Registrar exempts it from doing so)

These records need to be kept for a required period of time.

What is the required time period? Choose the CORRECT statement.

- a) 5 years from the date the transaction started.
- b) 5 years from the termination of the transaction.
- c) A minimum of 4 years.
- d) None of the above.

212. Where an accountable institution elects to outsource its responsibilities in terms of FICA and is a Long-Term Insurer, what must be in place? Choose the CORRECT one.

- a) Ensure that it has free and easy access to the records.
- b) Ensure that it can produce the records within seven days.
- c) Ensure through regular compliance reviews that the other accountable institution is properly satisfying the FICA requirements.
- d) None of the above.

213. What is the role of a Representative within the Financial Services Provider? Choose the statement which is INCORRECT.

- a) The role of a Representative is to provide financial services to clients for or on behalf of the FSP.
- b) The Representative could also provide financial services in terms of a mandatory agreement with the FSP.
- c) The Representative need not be full time employed by the FSP.

214. An authorised Financial Services Provider must maintain a Register of Representatives and Key Individuals which must be regularly updated. Choose the INCORRECT statement which does NOT explain the purpose of the Register.

- a) To provide a record of all the Representatives of an FSP.
- b) To provide a record of all Key Individuals.
- c) To provide a record of all Key Individuals which shows the personal information and capacity of the Representative (employee/mandatory).

215. The Financial Intelligence Centre Act of 2001, (Act 38 of 2001) requires an accountable institution to maintain records of the identity of clients for a period of five years after the date of the institution or termination of the business relationship or last transaction, whichever occurs last in time. Listed below are the records that need to be maintained, choose the CORRECT one.

- a) The identity of the client.
- b) If the client is acting on behalf of another person.
- c) The documentation with which the identity of the persons was established.
- d) All of the above.

216. Advice means any recommendation, guidance or proposal of a financial nature furnished, by any means or medium, to any client or group of clients. Which statement is TRUE?

- a) Advice is given in respect of the investment in any financial product.
- b) Advice is given in the form of objective information about a particular financial product.
- c) Advice is any other advisory activity exempted from the provisions of this Act by the registrar, after consultation with the advisory committee.
- d) Advice is about describing a financial product.

217. Financial products are grouped in the various product categories and sub-categories. Which of the following are examples of financial products in the subcategories in Category I?

- a) Credit life insurance.
- b) Money market funds managed by a fund manager.
- c) Credit life insurance and money market funds.
- d) Credit life insurance only.

218. Which statement would apply if the personal circumstances of a Key Individual changes? Choose the CORRECT one.

- a) Any change in the personal circumstances of a Key Individual after approval by the Registrar, that affects his honesty and integrity, must be declared to the FSP and FSB.

- b) Once a Key Individual has been approved by the Registrar, it does not matter if his personal circumstances change and affect the honesty and integrity requirements.
- c) If a Key Individual is found guilty of any of the prohibited actions within two years after approval, it must be reported to the FSP and FSB.
- d) All of the above.

219. The FSB authorises the FSP in terms of a license. What does this license make specific reference to and what is the role of the Key Individuals in this regard?

Choose one answer.

- a) The FSP is already an authorised institute.
- b) It makes reference to product categories and various subcategories and Key Individuals are not appointed for every FSP license.
- d) No specific reference is made and Key Individuals are appointed for every FSP license.

220. Which of the following were provisions made for Representatives by the Registrar when the 2010 fit and proper requirements came into effect?

Choose one answer.

- a) Representatives are exempt from meeting all requirements until they have obtained their specific qualification.
- b) Representatives may only meet the competence requirements and can work under supervision while obtaining the specific qualification.
- d) Representatives are exempt from writing a Regulatory Exam.

221. Once the requirements have been met, the Registrar may suspend or withdraw any licence if the Registrar is satisfied on the basis of available facts and information that the licensee:

Choose the answer that is FALSE.

- a) No longer meets the requirements of Section 8 of the Act.
- b) Did not disclose all required information upon applying for a license or submitted false or misleading information.
- c) Failed to submit the compliance report.
- d) Still owes levies, penalties or administrative sanctions to the FSB and has not paid it.

222. Which of the following is NOT the responsibility of the FAIS Registration Department?

- a) Lapsing of licences.
- b) Updating the central Representative register.
- c) Investigations into the affairs of FSPs.
- d) Collection of levies together with the FSB Finance Department.

223. An FSP must ensure that a compliance function exists or is established as part of its risk management framework, therefore an approved Compliance Officer must supervise the compliance function.

Which function is a Compliance Officer not responsible for? Which statement is INCORRECT?

- a) Providing the FSP with written reports on the course and progress achieved with compliance monitoring duties.
- b) Liaising with the Registrar regarding any compliance matters.
- c) Compiling the external audit report.
- d) Monitoring compliance with the FAIS Act.

224. Read the statements carefully and choose the CORRECT statement.

- b) Representatives carry the responsibility for their actions, not FSPs.
- c) The Representative Register needs to be updated twice a year or when a Representative joins or leaves the FSP's employment.
- d) All of the above.

225. The person appointed in the supervisory capacity has certain duties. Which statement below is INCORRECT and is NOT included in their duties?

- a) The sign-off on advice given to clients.
- b) Do appropriate post-transaction sampling.
- c) Observe selected meetings between the supervisee and customers.
- d) Compliance monitoring of the supervisee's duties.

226. All Key Individuals must meet certain criteria to be approved. Which one of the following statements is INCORRECT?

- a) All Key Individuals need to have the minimum MANAGEMENT experience requirements
- b) All Key Individuals need to have the required qualifications.
- c) All Key Individuals need to have completed the relevant regulatory examinations for the main categories and sub-categories of the financial products.

227. If a FSP who wants to register as a Sole Proprietor he/ she must have meet certain criteria before the licence is granted. Which statement is INCORRECT?

- a) The FSP must have the minimum experience requirements.
- b) The FSP must have the required qualifications.
- c) The FSP must complete the relevant regulatory examinations for the categories and sub-categories of the financial products.

228. All Key Individuals have to meet certain criteria regarding management experience before they will be approved by the Registrar. One of the statements below reflects the required criteria, choose the CORRECT one.

- a) The Key Individual needs to have product-specific experience as it relates to the subcategories that the Key Individual is responsible for.
- b) The Key Individual needs to have five years practical experience in the management of a business.
- d) All of the above.

229. In Section 13 of the FAIS Act, certain duties and responsibilities on FSPs are imposed. Which of the following statements is INCORRECT?

- a) If a Representative was debarred, he can never operate as a Representative again.
- b) FSPs must take reasonable steps to ensure that Representatives comply with applicable Codes of Conduct and with other applicable laws on conduct of business.
- c) Nobody may provide Financial Services to clients for or on behalf of unauthorised FSPs who are not exempted from the FAIS Act.
- d) All of the above.

230. Section 21 (1) of FICA requires accountable institutions to identify new clients and verify their particulars before any transaction may be concluded or any business relationship is established with them unless they qualify for Exemption 2. Exemption 2 stipulates that:

- b) Banks are not regarded as accountable institutions in terms of FICA.
- c) Each supervisory body is responsible for enforcing compliance with money laundering legislations by the accountable institutions under its regulation or supervision.
- d) FICA does not empower the Financial Intelligence Centre to supervise the accountable institutions.

231. Consider the following statements carefully and then choose the statement that is TRUE. The General Code states:

- b) that the Registrar may require providers to have suitable guarantees, professional indemnity or fidelity insurance cover in place.
- c) where a provider advertises a financial service by means of a public radio service, the advertisement need not include a reference to the fact that the provider is an authorised or licensed FSP.
- d) that the FAIS Registrar may not prescribe the guarantee or professional indemnity amounts that providers need to have in place.

232. When a FSP or its Representative offers a client a financial service, they need to provide details relevant to the client's needs. The information should NOT include one of the statements. Choose the INCORRECT statement.

- a) Information about the product.
- b) Explanation of the contract.
- c) Benefits to the client.
- d) Details of the qualifications of the Representative.

233. When a Representative is debarred from the FAIS Register, what would the purpose be? Choose the CORRECT one.

- b) It would prevent an FSP, under certain circumstances, from rendering Financial Services to clients.
- c) It would prevent a Compliance Officer, under certain circumstances, from providing compliance services to clients.
- d) None of the above.

234. There are certain requirements that need to be met when an FSP receives money from a client without a bank being involved. Which one of the following requirements is NOT applicable?

- a) The FSP must pay the money into the bank account within one day of receipt.
- b) The FSP must issue a written confirmation when the money is received.
- c) The FSP must pay the money into the bank account within one month of receipt.
- d) None of the above.

235. Compliance Officers are responsible for the compliance functions in relation to the particular categories and subcategories in terms of the FSP licence, for which they are approved by the Registrar. Who appoints the Compliance Officers? Choose the statement which is TRUE.

- a) Compliance Officers are appointed by the FSB.
- b) Compliance Officers are approved by the FSP.
- c) Compliance Officers are appointed by the FSP and approved by the FSB.
- d) Compliance Officers are approved by the Reserve Bank.

236. The Financial Intelligence Centre Act (FICA) introduced control measures to ensure that money laundering can be detected and investigated. Choose one of the measures that are TRUE.

- a) The institution is able to establish and verify the identity of their clients.
- b) The institution must keep certain records.
- c) The institution must implement measures that will assist them in complying with FICA, such as training of staff.
- d) All of the above.

237. FICA has certain objectives to control money-laundering and financial monetary gain from illegal activities. Consider the following statements carefully and then choose the statement that is TRUE.

- a) One of the objectives of FICA is to introduce control measures to assist the detection and investigation of credit-granting activities.
- b) FICA empowers the Financial Intelligence Centre (FIC) to supervise credit-granting institutions.
- c) FICA empowers the Financial Intelligence Centre (FIC) to supervise accountable institutions.

d) In terms of FICA, accountable institutions are required to obtain statements from customers suspected to be laundering money.

238. The FAIS Ombud investigates and adjudicates complaints by clients against FSPs and representatives. When investigating a complaint, which one of the procedures may he rule on? Choose the CORRECT one.

a) The Ombud may not dismiss the complaint, even if he is of the view that the offer made by the FSP is fair.

b) If the complainant is unhappy with the Ombud's determination he may appeal to the FSB provided the Ombud gives permission.

d) All the above.

239. If there is a significant interruption while the Representative is gaining experience of six consecutive weeks (or longer) then an additional period under supervision must be arranged equal to the length of the interruption.

What is this statement an example of?

a) Responsibilities of a FSP in terms of services under supervision.

b) What is included in and expected of supervision.

c) Requirements of a Key Individual.

240. How should a Key Individual or someone involved with the affairs of the FSP, who wishes to have their licence lapsed, advise the Registrar of their intentions?

a) Fill out an application of lapsing a licence.

b) Have his/her legal Representative contact the Registrar.

d) Schedule a meeting with the Registrar to discuss and let him know verbally.

241. Who is responsible for the administration of the FAIS Act?

b) Financial Services Board.

c) Financial Service Provider.

d) Key Individual.

242. If record keeping is outsourced, within what timeframe must the records be made available for inspection upon request by the Registrar?

a) 5 days.

c) 14 days.

d) 15 days.

243. The submission of compliance reports to the Registrar is a requirement of the FAIS Act. How frequently must these reports be submitted?

a) Bi-annually.

c) Quarterly.

d) Monthly.

244. The FSP must have a separate bank account at a bank, designated to receive funds and premiums from clients, which is separate from any other funds.

What statement below is TRUE in respect of bank charges?

a) The FSP is responsible for bank charges including the charges, which relate to deposit or withdrawals.

c) The client is responsible for all bank charges, but the FSP must pay all interest accumulating in the account to the client or owner of the funds.

d) The FSP is responsible for ALL bank charges, but may retain all interest accumulating in the account.

245. What should you tell your client about a FSP or Representative when rendering a financial service? Choose the incorrect statement.

a) Full business and trade names.

b) Registration number.

c) Name and contact details of relevant compliance and complaints departments.

246. Representatives and FSPs have to have certain qualifications and meet certain criteria to be able to give sound financial advice. When may a person not give advice? Which one of the statements is INCORRECT?

- b) A person may not give financial advice if he / she does not meet the fit and proper requirements or is not exempted.
- c) A person may not act as a Representative of an authorised Financial Services Provider, unless such person is able to provide confirmation, certified by the provider to clients.
- d) None of the above.

247. When dealing with complaints the Ombud must be independent and impartial. The objective of the Ombud is to consider and dispose of complaints. What is the manner in which the Ombud must deal with a complaint? Choose the CORRECT statement.

- a) In a fair manner.
- b) In an informal manner.
- c) In an economical and expeditious manner.
- d) All of the above.

248. When a Representative furnishes financial advice, what regarding the premium should a Representative disclose to the client? Choose the CORRECT one.

- b) The admin charges.
- c) The broker commission.
- d) The premium per section of the policy.

249. In presenting the terms and conditions to a client, a representative needs to consider certain aspects of a financial product for the client to make an informed decision. Choose the INCORRECT statement.

- a) All limitations.
- b) All restrictions and exclusions imposed.
- c) Any endorsements required.

250. There are certain documents that need to be kept after the Representative presented a client with a financial planning product. Choose the INCORRECT statement.

- a) Once the policy is issued, the Representative and/or FSP need to keep all records thereof.
- b) A copy of the needs analysis, needs identified, quotes compared, policy issued, policy schedule, endorsements required.

d) All of the above

251. Once a policy has been issued, which one of the following is required for quality assuring a policy? Choose the CORRECT statement.

- b) That the administrator issuing the policy has a relevant qualification.
- c) That the policy schedule has similar amounts to those quoted.
- d) All of the above

252. Read the statements carefully and choose the CORRECT statement.

- b) Representatives carry the responsibility for their actions, not FSPs.
- c) The Representative Register needs to be updated twice a year or when a Representative joins or leaves the FSP's employment.
- d) All of the above.

Level 3 Questions

1. The FICA imposes certain following duties on accountable institutions. Which of the following statements are FALSE with regard to these duties?

- i. Accountable institutions may keep certain records.
- ii. Accountable institutions may report certain information.
- iii. Accountable institutions must be able to establish and verify the identity of their clients.
- iv. Accountable institutions must implement measures that will assist them in complying with the FICA.

- a) i and iv only
- b) i and iii only
- c) i and ii only
- d) ii and iv only

2. Which of the following statements are FALSE?

i. If the FSP or a designated third party receives funds or financial documents, reasonable steps must be taken to ensure that they are adequately safeguarded.

ii. The funds or financial products must be dealt with according to the broker's mandate with the FSP.

iii. The client has easy access to an amount paid into the separate account, less all relevant deductions but subject to other applicable laws.

iv. When the FSP receives funds from a client, without a bank being involved the money must be paid into the bank account within seven days of receipt.

a) i and ii only

b) i and iii only

c) ii and iv only

d) i and iv only

3. There are specific supervision conditions that apply to Categories II, IIA and III. Of the following, identify one such condition:

b) Supervision also includes any other activity, which enables the supervisor to scrutinise the activities of the supervisee in respect of financial services being provided by the supervisee.

c) Supervisor must do appropriate post-transaction sampling on a daily basis.

d) Conduct sample checks on a monthly basis to ensure that the supervisee does not deviate from the relevant mandate or investment team meetings.

4. When a person does not submit a return, information or document to the Registrar as

required by the FAIS Act, that person is liable to additional legal action. All FICA penalties will apply to an FSP if he/she does not comply with the FAIS requirements in respect of the FICA. Choose the CORRECT one.

a) To pay a fine of up to R1 000 (or as determined by the Registrar) per day for every day that the return, information or document is late.

c) To pay a fine of R1 000 (or as determined by the Registrar) per day for every day that the return, information or document is late, plus interest.

d) None of the above.

5. The FAIS Ombud investigates and adjudicates complaints by clients against FSPs and representatives. When investigating a complaint, which one of the procedures may he rule on? Choose the CORRECT one.

a) The Ombud may not dismiss the complaint, even if he is of the view that the offer made by the FSP is fair.

b) If the complainant is unhappy with the Ombud's determination he may appeal to the FSB provided the Ombud gives permission.

d) All the above.

6. Which of the following may be conditions on a FSP licence?

i. Reference to the Categories for which the FSP is authorised.

ii. Applicable conditions about the fit and proper status of the Key Individuals who need to obtain certain qualifications within a certain period of time from the date of licensing the FSP.

iii. Instructions regarding the display of licenses.

iv. Applicable conditions about the fit and proper status of the Representatives who need to obtain certain qualifications within a certain period of time from the date of licensing the FSP.

a) i and iv only

b) i and iii only

c) i and ii only

d) ii and iv only

7. Which of the following institutions are included in Schedule 1 of the FIC Act?

i. Banks.

ii. A member of a stock exchange licensed under the Stock Exchanges Control Act, 1985 (Act 1 of 1985).

iii. The Ithala Development Finance Corporation Limited.

iv. A person who has been approved or who falls within a category of persons approved by the Registrar of Financial Markets in terms of section 5 (1) (a) of the Financial Markets Control Act, 1989 (Act 55 of 1989).

a) i and iv only

- b) i and iii only
- c) i and ii and iii and iv
- d) ii and iv only

8. Alan is a Representative for InsureMe and was appointed in June 2010. He does not meet the full qualifications criteria for Categories I and IV and can only be exempted if the following criteria are met:

- i. Alan must have had Matric or Grade 12 or an appropriate certificate at NQF level 4 when he was appointed and work under supervision until the full qualification is obtained.
- ii. Alan must have completed a skills programme and an appropriate certificate at NQF level 4 when he was appointed.
- iii. If Alan works in subcategory 1.17 Long – term deposits, he must have had ABET level 1; or the proven ability to read, write and calculate to the satisfaction of InsureMe when he was appointed.
- iv. If Alan works in subcategory 1.1 Long – term Insurance Category A, he must have had ABET level 1; or the proven ability to read, write and calculate to the satisfaction of InsureMe when he was appointed.

- a) i and iii
- b) i and ii
- c) i and ii
- d) i and iv

9. The FSP must do the following in order to debar a Representative:

- i. withdraw the authority of the Representative to act for and on behalf of the FSP.
- ii. remove the name of the Representative from the Representative register.
- iii. remove the name of the key individual of a non juristic Representative from the Representative register.
- iv. return the FAIS license to the Registrar.

- a) i and iv only
- b) i and iii only
- c) (i) and ii only
- d) ii and iv only

10. The following records need to be kept in terms of Section 18 of the FAIS Act:

- i. Records of complaints received in the last financial year and information on whether the complaints have been resolved.
 - ii. Records of instances of non-compliance with the Act as well as reasons for non-compliance.
 - iii. Records of known premature cancellations of transactions or financial products by clients of the FSP.
 - iv. Records of ongoing compliance by Representatives as required by Section 13(1) and (2) of the Act.
 - v. Continued compliance with the requirements of section 8 of the Act
- a) i and ii and iv only
 - b) ii and iii and iv and v only
 - c) i and ii and v only
 - d) i and ii and iii and iv

11. TrustUs is a compliance practice and in terms of the FAIS Act they can act as compliance officers for FSPs who want to outsource the compliance function. What is required from TrustUs?

- i. There are no legal requirements for outsourcing of the compliance function as the FSP remains responsible.
 - ii. TrustUs must have a FSP license as well.
 - iii. TrustUs must have adequate staff, resources and skills.
 - iv. The FSP must ensure that TrustUs can use the FSPs resources and staff if TrustUs does not have sufficient resources and staff.
- a) i and iv only
 - b) i and iii only
 - c) i and ii only
 - d) iii only

12. Agnes wants to apply for a position as a Representative at a bank. Which of the following statements are TRUE with regard to Agnes being fit and proper:

- i. Agnes will not meet the "honesty and integrity" requirements if she was found guilty by any statutory professional body or voluntary professional body (whether in the Republic or elsewhere) recognised by the FSB, of an act of dishonesty, negligence, incompetence or

mismanagement, sufficiently serious to impugn the honesty and integrity of the Representative, within three years before the date of appointment by the FSP.

ii. Agnes will not meet the "honesty and integrity" requirements if she has been denied membership of any statutory professional body or voluntary professional body because of an act of dishonesty, negligence, incompetence or mismanagement, sufficiently serious to impugn the honesty and integrity of the Representative, within five years before the date of appointment by the FSP

iii. Agnes will not meet the "honesty & integrity" requirement if she had been a sole proprietor FSP who had its authorisation to carry on business/any license granted been withdrawn or suspended by any regulatory or supervisory body because of an act of dishonesty, negligence, incompetence or mismanagement sufficiently serious to impugn the honesty and integrity of the Representative within five years before the date of appointment by the FSP.

iv. Agnes will not meet the "honesty and integrity" requirements if she was found guilty by any statutory professional body or voluntary professional body (whether in the Republic or elsewhere) recognised by the FSB, of an act of dishonesty, negligence, incompetence or mismanagement, sufficiently serious to impugn the honesty and integrity of the Representative, within five years before the date of appointment by the FSP.

- a) i and iii only
- b) ii, iii and iv only
- c) iii and iv only
- d) i and iv only

13. Which fit and proper requirements are the same for both Key Individuals and Representatives?

- i. Honesty and integrity
- ii. CPD
- iii. Competence
- iv. The fit and proper requirements are different

- a) i, ii and iii
- b) i only
- c) iv
- d) ii and iii

14. Which of the following is TRUE?

- i. Section 7 of the FAIS Act includes the qualifications of Representatives and duties of FSPs towards the maintenance of the FAIS license.
 - ii. FSPs may only have one license.
 - iii. The licensing conditions will never include exemptions applicable to the FSP.
 - iv. The financial services of the FSP are limited to the specific sub product Category for which a license is issued.
- a) i and iv only
 - b) i and iii only
 - c) i and ii only
 - d) iv only

15. The FSP's FAIS compliance report must include information about the FSP's compliance with the FIC Act. What must be included?

- i. The necessary policies, procedures and systems to ensure risk rating of clients.
 - ii. The necessary policies, procedures and systems to ensure reporting of suspicious transactions.
 - iii. The necessary policies, procedures and systems to ensure full compliance with FICA and other applicable anti-money laundering or terrorist financing legislation.
 - iv. The necessary policies, procedures and systems to identify and alert clients who conduct suspicious transactions.
- a) i and iii and iv only
 - b) i and ii and iii only
 - c) iii and iv only
 - d) i and ii and iii and iv

16. Alan is a Representative of InsureMe and he needs to disclose the following with regard to the product supplier:

- i. Name, physical location, postal and telephone contact details of the product supplier.
- ii. The contractual relationship between FSP and the product supplier (if any), and whether the FSP has contractual relationships with other product suppliers.
- iii. Names and contact details of the relevant legal and complaints departments of the product supplier.
- iv. If applicable, that the FSP holds more than 30% shares or has the equivalent financial interest in the product supplier and that the FSP received more than 30% of total remuneration, including commission in the last 12 months, from the product supplier;

- a) i and ii and iv only
- b) i and iii and iv only
- c) ii and iv only
- d) i and ii only

17. There are additional steps to take by the FSP when debarring a Representative. They include:

- i. ensure that concluded business of the Representative is properly recorded by the Registrar.
- ii. take immediate steps to ensure that the debarment does not prejudice the interests of the clients of the Representative.
- iii. ensure that unconcluded business of the Representative is properly concluded.
- iv. ensure that all clients get a warning not to do business with the debarred Representative.

- a) i and iii only
- b) ii and iii only
- c) iii and iv only
- d) ii and iv only

18. Which of the following statements pertain to the record keeping obligations in terms of the General Code?

- i. Telephonic conversations regarding the provision of financial services must be recorded and the records kept for five years, but if no financial service is provided within 45 days of the telephonic advertisement, the record may be discarded.
- ii. The records must be kept for five years from inception of the product.
- iii. There must be provision in the systems and procedures for a FSP to access and convert voice logged records to a written format if required.
- iv. Clients must be able to get copies of the telephonic advertisement records within ten days of request.

Choose one answer.

- a) i and iii only
- b) ii and iii only

- c) i, ii and iii only
- d) ii and iv only

19. Which of the following must be disclosed to clients as soon as possible?

- i. Detail about the legal relationships between FSP, product supplier and Representative (if any); so that it is clear to the client who accepts responsibility for the actions of the FSP or Representative or the extent to which the client must accept such responsibility.
- ii. Names and contact details of the relevant legal departments or, in the case of a Representative, the contact details of the Representative.
- iii. Details of the financial services which the provider is authorised to provide and of any conditions or restrictions applicable to the license and whether the FSP has guarantees or professional indemnity or fidelity insurance cover or not.
- iv. Whether a Representative of a provider is rendering services under supervision as defined in the Determination of Fit and Proper Requirements.

Choose one answer.

- a) i and iii and iv
- b) i and ii and iii
- c) iii and iv
- d) i and iii

20. Mary is a Representative for Category I and renders an intermediary service and gives advice in Long-term insurance category A and Long-term insurance category B. What is the specific supervision periods that will apply to Mary if she does not meet the experience requirements on appointment?

- i. For both sub-categories she needs to work for the first two months under direct supervision.
 - ii. For both sub-categories she needs to work under ongoing supervision after two months for the rest of the period under supervision.
 - iii. For both sub-categories she needs to work for the first four months under direct supervision.
 - iv. For both sub-categories she needs to work under ongoing supervision for four months.
- a) i and iii
 - b) i and ii
 - c) iii and iv
 - d) i and iv

21. The General Code prescribes certain measures to keep records safe from destruction. Which of the following statements are FALSE?

- i. The records and documentation must be kept safe from destruction.
- ii. All records must be secured in area /safe which is fire proof and not subject to other destructive forces.
- iii. An FSP must keep the records themselves and ensure that it is available for inspection within 7 days of the Registrars request.
- iv. All records must be kept in locked cupboards.

- a) i and iii only
- b) i and iii and iv only
- c) ii and iii and iv only
- d) ii and iv only

22. Compliance officers must submit annual reports to the FAIS Registrar. These reports must include:

- i. Reporting any irregularity or suspected irregularity in the conduct of the FSP business which is material.
- ii. Reporting confirmed irregularity in the conduct of the FSP business which is material.
- iii. Sign-off by the Board.
- iv. Sign-off by the Key Individual

- a) i and iv only
- b) i and iii only
- c) ii and iv only
- d) i and ii only

23. Johan is a Key Individual at Pensions- R- Us with Representatives, Thandi, Jeff, Maggie and Siya. Which if these individuals should be fully versed with the fit and proper requirements for Representatives?

- a) Only Johan. As Key Individual, Johan is responsible for the management of the Representatives including ensuring they meet the fit and proper requirements.

b) Thandi, Jeff, Maggie and Siya. As Representatives, they are responsible for ensuring they meet all the fit and proper requirements.

d) Pensions-R-Us only. As the authorised and licensed Financial Services Provider, Pensions-R-Us are responsible for ensuring the Representatives meet the requirements.

24. Which statements best describe the importance of remaining updated with regard to the regulatory universe that will affect the FSP?

i. The FSP must ensure that there are procedures and systems in place to identify and flag changes in legislation and Representatives should rely only on FSPs for information about changes.

ii. It is important that the Key Individual/FSP and representative stay up to date in changes and updates in the FAIS legislation – including the subordinate legislation.

iii. It is crucial for a FSP to be aware of changes in legislation as well as new legislation introduced and to ensure that all staff, such as Representatives are informed of the changes and requirements.

iv. It is important that the business aligns its practices and compliance with applicable legislation on an annual basis.

a) i and iii only.

b) ii and iii only.

c) iii and iv only.

d) i and iv only.

25. In terms of general competency requirements, a Representative, must at date of appointment by an FSP:

i. be fully experienced as services under supervision only applies to key individuals.

ii. have the minimum experience requirements (unless the Representative works under supervision).

iii. have completed all the CPD requirements.

iv. have all the required qualifications (unless the Representative works under supervision)

a) i and ii only

b) i and iii only

c) ii and iv only

d) i and iv only

26. Which of the following statements apply to the identification and verification of new clients?

i. The information obtained from legal persons such as Companies, Close corporations, and Trusts must be verified by comparing it against the registration documents of these legal entities.

ii. The information obtained from legal persons such as Companies, Close corporations, and Trusts must be verified by comparing it against the founding statements of these legal entities.

iii. Directors, shareholders, members and trustees of legal persons are also subject to identification and verification procedures.

iv. Legal persons include Companies, Close corporations but excludes Trusts.

a) i and iii only

b) i and ii only

c) ii and iv only

d) i and iv only

27. Clients must get adequate information on financial products. Disclosure must include the following:

i. The provider must within one month, provide, where applicable, information of the name, class or type of the financial product concerned.

ii. Nature and extent of the benefits as well as the way they are derived or calculated and the manner in which they will accrue or be paid.

iii. Where the financial product is marketed or positioned as an investment, or having an investment component a brief summary of the manner in which the value of an investment is determined, including a brief summary of any underlying assets or other financial instruments.

iv. Where the financial product is marketed or positioned as an investment, or having an investment component on request, information about the past investment performance of the product over periods and at intervals which are reasonable with regard to the type of product involved including a warning that past performances are not necessarily indicative of future performances.

a) i and iii and iv

b) i and ii and iii

c) i and ii and iv

d) ii and iii and iv

28. When a FSP permits Representatives to render financial services under supervision, it must meet certain requirements. Which of the following statements are FALSE with regard to these requirements in respect of CATEGORY I products?

- i. Oversee the Representatives who render services under supervision only through a competent Representative / key individual.
- ii. Oversee the Representatives who render services under supervision by itself, or through a competent Representative / key individual.
- iii. Ensure that the supervisee is supervised for the first two months when executing their duties in terms of the supervisory agreement.
- iv. Ensure that the supervisee is supervised at all times when executing their duties in terms of the supervisory agreement.

a) i and iv

b) i and iii

c) ii and iii

d) i and ii

29. Which of the following statements are TRUE?

- i. The functions of internal audit and compliance may be combined as the scope of the functions are very similar.
- ii. Internal auditors do not audit compliance findings.
- iii. The internal audit function is normally responsible to and report to the Board of Directors.
- iv. The primary goal of internal audit is to evaluate the company's risk management, internal control and corporate governance processes and ensure that they are adequate and are functioning correctly.

a) i and iv only

b) iii and iv only

c) ii and iv only

d) i and ii only

30. Choose the statements that are FALSE with regard to general experience requirements which have to be met by Representatives in all product categories:

- i. The Representative must, on the date of appointment (by the FSP) meet the minimum experience required in the different subcategories (as described in the relevant Table).
 - ii. The experience may be intermittent experience gained 6 years prior to application date.
 - iii. The experience must have been obtained through active involvement in providing financial services and could not have been gained whilst working under supervision.
 - iv. The experience must have been obtained through active involvement in providing financial services and could have been gained whilst working under supervision for the minimum experience period.
- a) i and iv only
 - b) i and iii only
 - c) ii and iii only
 - d) ii and iv only

31. Sarah and Jane are sisters and work for the same FSP. Sarah is a compliance officer and Jane is a Representative for the FSP. Sarah is aware of suspicious activities in Jane's department and is concerned that there may be a conflict of interest.

Explain to Sarah what conflict of interest means in respect of the compliance function.

- i. One of the qualifying criteria for approval of a compliance officer by the Registrar, is the avoidance of conflict of interests between the duties of compliance officer with the duties of other employees, internal audit and control and functions of Representatives.
 - ii. Conflict of interest only applies with regard to the independence of the compliance function from internal audit.
 - iii. If there are conflicts of interests across the functions, the compliance officer will not be able to perform the function objectively, nor to identify and report on instances of non-compliance or irregularities.
 - iv. Conflict of interest for compliance officers mean that they are not allowed to accept any gifts or financial interest.
- a) i and iii and iv only
 - b) i and iii only
 - c) iii and iv only
 - d) ii and iv only

32. Which of the following is TRUE with regard to the qualification requirements of Representatives from 2010 onwards?

- i) A qualification that meets 100% of the qualification criteria in terms of content is deemed a specific qualification (SP)
 - ii) A qualification that meets 80% of the qualification criteria in terms of content is deemed a specific qualification (S)
 - iii) A qualification that meets 100% of the qualification criteria in terms of content is deemed a generic qualification
 - iv) A qualification that meets the qualification criteria partially in terms of content is deemed generic
- a) i and iv
 - b) ii and iv
 - c) ii only
 - d) i only

33. There are certain implications for a FSP if the Registrar publishes a notice regarding a business practice undesirable. Which of the statements below are FALSE regarding these implications?

- i. The FSP may carry on with the business practise concerned, until the registrar provides written directive for the FSP to desist.
 - ii. The registrar may direct a non-authorised FSP, who carries on the business practice on/after date of publication of the notice, in contravention of the notice, to rectify, to the satisfaction of the registrar, anything which was caused by or arose out of the business practice.
 - iii. A FSP who was directed by the registrar to rectify anything must do so within 60 days after such direction is issued
 - iv. A FSP who was directed by the registrar to rectify anything must do so within 30 days after such direction is issued
- a) i and ii and iv only.
 - b) ii and iii only.
 - c) iii and iv only.

34. Which of the following statements are FALSE?

- i. "Direct supervision" means the supervision of a Representative under the guidance, instructions and supervision of a supervisor, which occurs on a daily to weekly basis.

- ii. “Ongoing supervision” means the way supervision is exercised after the period of ‘direct supervision’ has been completed, which occurs on at least a bi-weekly to monthly basis.
 - iii. “Direct supervision” means the supervision of a Representative under the guidance, instructions and supervision of a supervisor, which occurs on a monthly to weekly basis.
 - iv. “Ongoing supervision” means the way supervision is exercised during the period of ‘direct supervision’ has been completed, which occurs on at least a weekly to monthly basis.
- a) i and iii
 - b) i and ii
 - c) ii and iii
 - d) iii and iv

35. What are the requirements regarding the display of licences?

- i. A FSP must display certified copies of the license in a prominent and durable manner in every business premise.
 - ii. A FSP must ensure that all business documentation, advertisements and other promotional material displays the license number and other details.
 - iii. A FSP must display certified copies of the license in a prominent and durable manner in the Head Office and Regional offices if applicable..
 - iv. A FSP must ensure that that all business documentation, advertisements and other promotional material refers to the license.
- a) i and iii only.
 - b) ii and iii only.
 - c) iii and iv only.
 - d) i and iv only.

36. What recourse does a Representative have when the registrar wants to debar him/her?

- i. There is no recourse, the registrar has absolute powers and can debar a person without notice.
- ii. The registrar must inform the Representative of the grounds for the intention to debarment and must give the Representative a reasonable opportunity to reply.
- iii. The Representative must apply to the Ombud for special leave to appeal against the debarment.

iv. The registrar must also inform the Representative of any terms or conditions it wants to attach to the suspension.

- a) i and iii only
- b) ii and iii only
- c) iii and iv only
- d) ii and iv only

37. Jack and Jill are Key Individuals at Ask Us. Assuming it is June 2011, by what date do they need to meet their CPD hour requirements?

- a) June 2012
- b) June 2013
- c) June 2014
- d) June 2015

38. Jack and Jill are Key Individuals at AskUs appointed on 1 September 2007 and are approved only for the product short term insurance personal lines. They have completed their product exam on the 18 January 2012. By what date do they need to complete their CPD notional hour requirements?

- a) 18 January 2018
- b) 31 December 2013
- c) 18 January 2015
- d) 31 December 2014

39. When can a person be reinstated after being debarred?

- i. All unconcluded business of the person as a former Representative should have been properly concluded.
- ii. Debarred Representatives may reapply after 10 months if the debarment was not related to the competency requirements.
- iii. A Representative can be reinstated depending on the reasons for debarments
- iv. All fit and proper requirements as contemplated in section 8(1)(a) and (b), read with section 13(2), of the Act are complied with.

- a) i and iii and iv only

- b) i and ii and iii only
- c) iii and iv only
- d) ii and iv only

40. The Registrar may suspend or withdraw a FAIS license, subject to certain conditions. Which statement is FALSE regarding suspension and withdrawal of licenses?

- a) The license may also be reinstated, subject to certain conditions.
- b) If an accredited Medical Schemes FSP loses its accreditation in terms of the Medical Schemes Act, the FAIS License will also be deemed to be suspended or withdrawn.

d) If the accredited Medical Schemes (FAIS) FSP's license is suspended or withdrawn in terms of the FAIS Act, it will lose its accreditation in terms of the Medical Schemes Act.

41. Where a FSP and product supplier are the same legal entity, it (including a Representative) may receive or offer the following from or to a third party:

- i. Any Cash, Cash equivalent
 - ii. STI, LTI or Medical Schemes Act commission.
 - iii. Any Domestic/foreign travel, Hospitality, Accommodation, Sponsorship.
 - iv. Other fees if the fees are agreed by client in writing and it may be stopped by client.
- a) i and iii
 - b) i and ii and iii
 - c) i and ii and iv
 - d) ii and iv

42. BigWig Brokers is a sole proprietor. David is the key individual and is also:

- a) the Financial Services Provider.
- b) only fulfilling the role of Key Individual.
- c) the supervisor
- d) juristic representative.

43. What must the Registrar do before suspension or withdrawal of a FAIS license?

- i. The Registrar must consult a regulatory authority (like the Registrar of Banks).

- ii. The Registrar may inform the FSP of the intention and provide opportunity to respond.
- iii. The Registrar must inform the FSP of the intention to suspend or withdraw and the grounds therefore and give the licensee reasonable opportunity to make submissions
- iv. The Registrar must consider responses received from the FSP and decide accordingly.

- a) i and iii only.
- b) ii and iii only.
- c) iii and iv only.
- d) i and iv only.

44. Which of the following changes in the circumstances of Representatives or Key Individuals must be recorded in the register?

- i. change of name
 - ii. Address
 - iii. Promotions
 - iv. bonuses received
- a) i and iii
 - b) ii and iv
 - c) i and ii
 - d) iv only

45. Mary is rendering financial services under supervision. Which of the following statements BEST describe Mary's responsibilities as a supervisee?

- i. Mary must ensure that she adheres to the requirements of the supervision contract.
- ii. Mary must ensure that she is aware of relevant product training
- iii. Mary must ensure that she disclose to clients that she is acting under supervision.
- iv. Mary must ensure that she shows clients her supervision agreement

Choose one answer.

- a) i and ii
- b) i and iii

- c) ii and iii
- d) iii and iv

46. The concept of financial service consists of the following alternatives:

- i. giving advice
- ii. giving advice and providing an intermediary service.
- iii. providing an intermediary service.
- iv. providing managerial services

- a) i and iii and iv
- b) i and ii and iii
- c) i and iv
- d) i and iii

47. If the license is suspended or withdrawn, the Registrar

- i. May publish the suspension/withdrawal plus reasons and applicable terms in the Gazette.
- ii. Must publish the suspension/withdrawal plus reasons and applicable terms in the Gazette.
- iii. Must publish the information by means of any other appropriate public media.
- iv. May publish the information by means of any other appropriate public media.

- a) i and iii only.
- b) ii and iii only.
- c) iii and iv only.
- d) ii and iv only.

48. What does the following mean if it appears on the Representative register:
1/3/01012005///.

Choose the INCORRECT option

- i. The Representative is mandated for Category 3 financial services, for the product long term insurance Category A
- ii. The Representative is mandated for Category 1 financial services, for the product long term insurance Category B

iii. The Representative is mandated to provide advice, intermediary services & does so under supervision with effect from 01 January 2005.

iv. The Representative is only mandated to provide advice with effect from 01 January 2005. He is not providing intermediary services or rendering financial services under supervision

a) i, ii, iii and iv are incorrect

b) ii and iii are incorrect

c) i and iii are incorrect

d) i and iv are incorrect

49. Contingency planning includes the following:

i. A Sole Proprietor license cannot be transferred to another person. The license can therefore not be inherited by anyone

ii. A Sole Proprietor license can be transferred to another person. The license can therefore be inherited by anyone

iii. A Close Corporation license is separate from the key individual and if s/he cannot operate anymore, the FSP is not allowed to perform any regulated function until such time as the new key individual is approved by the FSB.

iv. The sole proprietorship is attached to the key individual. If the key individual passes away or any situation occurs that will lead to the key individual not being able to perform his/her duties in terms of the FAIS Act, the license will be lapsed and the business will cease to exist.

a) i and iii

b) i and ii and iii

c) i and iii and iv

d) ii and iv

50. Alan is a representative for InsureMe. Which of the following actions will be regarded as rendering a financial service to clients?

i. Alan hands out brochures about insurance products and explains the products factually when asked by clients.

ii. Alan often gives his own opinion about financial products to clients and recommends certain products.

iii. Alan often guides his clients to replace products.

iv. Alan often needs to update the policy details of clients, such as the risk address or make of vehicles.

- a) i and iii and iv
- b) i and ii and iii
- c) i and ii and iv
- d) ii and iii and iv

51. You are asked to advise BigWig Brokers under what circumstances a FSP would lapse a license:

- i. Where the licensee is finally liquidated or dissolved.
- ii. Where the business of the licensee has become dormant.
- iii. In any other case, where the licensee voluntarily and finally surrenders the license to the Registrar.
- iv. When the licensee no longer meets the requirements of Section 8 of the Act.
- v. Where the licensee, being a natural person: becomes permanently incapable of carrying on any business due to physical or mental disease or serious injury / is finally sequestrated or dies.

- a) i and ii and iii and v only.
- b) ii and iii and iv only.
- c) i and ii and v only.
- d) ii and iv only.

52. As a Financial Services Provider, Tom needs to accept responsibility for certain requirements set out by the Financial Services Board to make his business a success and to be Fit and Proper. What should Tom NEVER do as it would impact his business negatively? Read the following statement carefully and choose the INCORRECT statement.

- a) He should ensure that he complies with the respective Code/s of Conduct.
- b) He should always maintain all accounting and audit requirements.
- c) He should always ensure compliance with the act.
- d) He should do yearly competency and integrity checks for his Representatives.

53. The General Code requires that FSPs or Representatives must adhere to certain advertising principles, which includes:

- i. Performance Data must include references to their source only.

- ii. Illustrations, forecasts or hypothetical data must show support through clearly stated basic assumptions with a reasonable prospect of being met under current circumstances
- iii. A warning statement about risks involved in buying or selling a financial product, must clearly be identified as a warning statement.
- iv. If the investment value of a financial product mentioned in the advertisement is not guaranteed, client must be advised, in writing, within 30 days, that no guarantees are provided.

- a) ii and iii only
- b) i and iii and iv only
- c) ii and iv only
- d) i and iv only

54. Because Tom's business has grown rapidly he needs to employ a Compliance Officer. Which statement does NOT form part of a Compliance Officers main requirement of the FSP as far as Compliance is concerned?

Read each statement carefully and choose the INCORRECT one.

- a) The function of a Compliance Officer will be to monitor compliance with the FAIS Act.
- b) The function of a Compliance Officer will be the liaison person with the Registrar.
- c) The function of the Compliance Officer will be the liaison person with the Ombud.
- d) The function of the Compliance Officer is to submit detailed reports to the Registrar.

55. Which of the following statements are TRUE?

- i. If a case cannot be settled through mediation or conciliation, the FAIS Ombud or the Deputy FAIS Ombud may issue a determination.
 - ii. In terms of the FSOS Act, the existing voluntary ombudsmen established by the financial services and banking industry enjoy recognition.
 - iii. The FAIS Ombud can officially accept a complaint for investigation if the complaint relates to a financial service that was rendered on or after 30 September 2004.
 - iv. A determination has the same legal effect as a judgment of a court.
- a) i and ii and iii only.
 - b) ii and iii and iv only.
 - c) i and ii and iii and iv.
 - d) ii and iv only.

56. Which of the following statements are TRUE?

- i. Subject to the record keeping obligations of the General Code and also mindful of any contractual obligations, a provider must, with immediate effect, allow a request from a client for voluntary termination of an agreement with a provider or in relation to a financial service.
 - ii. A provider is under no obligation to allow a request from a client for voluntary termination of an agreement.
 - iii. A provider (other than Representative) who stops operating as such need not ensure that any outstanding business is completed promptly or transferred to another provider.
 - iv. A provider (other than Representative) who stops operating as such, must notify all affected clients immediately.
- a) ii and iii only
 - b) i and iii and iv only
 - c) i and iv only
 - d) ii and iv only

57. In order for Tom's business to be Fit and Proper, he has to comply with certain criteria in four different areas; sound Financial abilities, Honesty and Integrity, Operational ability and Competency. Which statement does NOT refer to the Honesty and Integrity of a Provider?

Read each statement carefully and choose the INCORRECT one.

- a) An applicant must be of good character and integrity.
- b) An applicant may not within a period of 5 years preceding the date of application been found guilty in any civil or criminal proceedings by a court of law or other competent authority of having acted fraudulently, dishonestly, unprofessionally, dishonourably or in breach of a fiduciary duty.
- c) Has within a period of five years preceding the date of application been fined or censured by or denied membership due to disqualification of, any professional or financial services industry body.

58. Brad invested R 10 000 with ABC Financial Services Provider on 1 January 2010. By the 30 June 2010, Brad had incurred bank charges of R 200. Of these, R 40 related to deposits &

withdrawals of the funds by Brad. Interest accumulated in this period amounted to R 100. Brad terminates the investment on 1 July 2010. He must be repaid the following sum:

- a) R9 900
- b) R9 940
- c) R10 100
- d) R10 060

59. Janet will have to maintain records for Tom's business for at least 5 years in terms of the general Code of Conduct. One of the statements below does NOT apply to the record keeping process, which one does NOT apply?

- a) Records of complaint received.
- b) Records of continued compliance with the licensing requirements.
- c) Records of instances of compliance with the Act and reasons for such compliance.
- d) Records of continued compliance.

60. Tom has advised Estelle on an investment policy. In order for Tom to carry out the compliance provisions, he has to disclose certain important information under the FAIS General Code of Conduct. Which one of these statements is INCORRECT?

- a) All information must be factually correct.
- b) All information must be provided in plain language.

d) All information must avoid uncertainty and confusion and not be misleading.

61. The office of the Ombud for Financial Services serves as a cost effective dispute resolution system through which customer complaints against FSP's or Representatives can be processed.

Choose one statement which does NOT explain the way in which the Ombud will deal with the complaint.

- a) Fair.
- b) Formal.
- c) Economical.
- d) Expeditious.

62. There are different license categories and subcategories in the FAIS Act. Why is it important for you as a Representative to know about the different categories?

Read each statement carefully and then choose the statement that is TRUE.

- a) Financial Service Providers are authorised or licensed to provide financial services in all the available license or product categories.
- b) Key Individuals are authorised to act for all license and product sub-categories.
- c) Representatives must be fit and proper to provide financial services within the license categories and product subcategories for, which they are appointed.
- d) The license categories are only applicable for the licensing of Financial Service Providers and do not apply to Key Individuals and Representatives.

63. TrustUs, an Insurance company, appointed a few new Representatives in January and February 2010 and not all of them meet the fit and proper competence requirements. Three of these Representatives will have to work under supervision until they meet the requirements. You are tasked to assist TrustUs to ensure that the GENERAL conditions, which apply to the period under supervision, are met.

Read each statement carefully and then choose the statement that is TRUE.

- a) Representatives working in multiple categories or subcategories cannot get experience in all the categories at the same time.
- b) The supervision period need not be linked to any category or subcategory, as long as the supervisee renders a financial service.
- c) Representatives under supervision must complete RE2 and the relevant qualification for the applicable category or subcategory within two years from the date of appointment.

64. InsureMe, an authorised short term insurance provider appoints John as a Representative and registers him with the FSB. A complaint is later lodged against him for mis-selling.

Who will be held responsible?

- a) John will be held entirely responsible.
- b) InsureMe and John will be held responsible.
- c) The FSB will be held responsible.
- d) InsureMe will be held responsible.

65. Disclosure requirements are probably one of the most important aspects of a financial service that a FSP renders to its clients. As a Representative you need to understand what is required from you in terms of disclosure.

Which of the following disclosure requirements must be adhered to?

- b) Disclosure of the product supplier information must state the contractual relationship between the FSP and the product supplier, but it is not required to disclose whether the FSP has contractual relationships with other product suppliers.
- c) A Representative need not disclose that he/she is rendering services under supervision.
- d) Representatives need not disclose detail about the legal relationships between the FSP, product supplier and Representative.

66. Tom needs to at all times have the resources, procedures and appropriate technological systems that can eliminate as far as reasonably possible, the risk that clients, product suppliers and representatives may financially suffer through theft, fraud, dishonest acts, poor administration, negligence, misconduct or omissions. Choose the CORRECT control procedure that can be utilised to provide assurance.

- a) Assurance that the relevant business can be carried on in an orderly and efficient manner.
- b) Assurance that the financial and other information used or provided by the Provider is reliable.
- c) Assurance that all applicable laws are complied with.
- d) All of the above.

67. Tom and Janet have decided that they are going to advertise to attract new business / clients. They have decided that telemarketing would be the most viable and the least expensive way of doing this. However, there are certain requirements that need to be met when contacting a prospective client telephonically. Which one of these requirements is INCORRECT?

- a) An electronic voice logged record of all communication must be kept.
- b) A copy of all such records must be provided to a client only on request.
- c) A copy of all such records must be provided to a client within 10 days of such request.
- d) The full details of the financial service provided to the client in writing within 30 days of the relevant interaction with the client.

68. Tom acts for a Provider and needs to make certain disclosures to Estelle. Which one of the statements below may Tom NOT disclose?

- a) Name, physical address, postal and telephone contact details.
- b) Details of complaints procedures which a client could follow if ever necessary.
- d) The Provider must convey the remuneration, including the commission received from the Product Supplier.

69. Tom also needs to make disclosures regarding the Financial Services Product that he is selling to Estelle. Which disclosure is FALSE?

- b) Tom must provide Estelle with a statement of account in connection with any Financial Services rendered to the client.
- c) Tom must inform Estelle in regard to the completion or submission of any transaction requirements.
- d) Tom must whenever appropriate provide Estelle with any material contractual information and any material illustrations, projections or forecasts in his possession regarding the product.

70. Consider the correct processes and procedures for the appointment of Representatives and choose the correct answer from the given options.

- i) Check data bureau.
- ii) Check validity of institution.
- iii) Check qualification.
- iv) Check employment history.
- a) i only.
- b) iii and iv.
- c) i, iii and iv.
- d) ii only.

71. Part of the FAIS Act fit and proper requirements are that a Representative must meet the honesty and integrity requirements. TrustUs, an insurance company, wants to appoint a couple of Representatives. Patrick and Ryan are potential candidates.

Read each statement carefully and then choose the statement that is TRUE.

a) Ryan worked for a large brokerage with a FSP licence four and a half years ago. He tells you that he left them because their FSP licence was suspended because the Key Individual committed fraud.

c) Ryan is a Category IIA Representative and he has two years practical experience in rendering financial services.

d) Patrick has a qualification that is not on the FSB qualification list.

72. Kaila is a Compliance Officer at Red Financial and has recently become aware of some non-compliance issues. What should she do?

a) Decide whether they are material and if they are mention it in her compliance report.

b) Discuss it with her colleagues at other financial institutions.

c) Report them to the FAIS Supervision Department for advice.

d) Report them immediately to the Financial Services Board.

73. The FAIS Codes of Conduct for Discretionary and Administrative FSP's instituted on 8 August 2003 describes a Discretionary FSP as one of the following below. Choose the statement which does NOT describe a Discretionary FSP.

b) That renders any other service in the laws within the Codes of Conduct for Discretionary and Administrative FSP's.

c) That renders any other service in the laws within the General Code of Conduct (where applicable).

d) In the case of a Discretionary FSP, the FSP exercises its authority without the client's specific consent to each transaction and exercises a greater discretion over the client's investments.

74. When a FSP provides a client with ongoing financial services, he/she has to provide the client with a written statement identifying the financial products and other necessary details as set out by the General Code of Conduct. How often does a written statement need to be sent to the client? Choose the INCORRECT statement.

a) It may be sent quarterly.

b) It may be sent half-yearly.

c) It has to be sent annually.

d) None of the above.

75. Mpho has been found guilty of misappropriating client's funds by his FSP WeInsure. What should they do?

a) WeInsure should immediately dismiss Mpho.

b) WeInsure should issue Mpho with a fine and command him to compensate his clients.

d) WeInsure should inform law enforcement to send a warrant for his arrest.

76. When Category II and IIA FSPs conduct business with other FSPs they have to ensure that the other FSPs meet all the FAIS requirements. Which statement describes the requirements that must be met in order for them to conduct business?

a) They need to possess the relevant licences for the Category and sub-category.

b) They need to have sufficient capital and liquidity to meet the solvency requirement.

c) They need to employ a sufficient amount of employees who are suitably qualified.

d) None of the above.

77. TrustUs may approach you to be one of the SUPERVISORS and you need to understand what is required from you.

Read each statement carefully and then choose the statement that is TRUE.

a) The supervisor must attend every meeting between the supervisee and customers.

c) The supervisor must ensure that customers sign a declaration in, which they accept that the supervisee advises them.

d) For Categories II, IIA, and III, the supervision requirements may be lessened in intensity during the duration of the period under supervision.

78. Which of the following would be considered to be elements of advice?

i. Answering routine admin queries.

ii. Making a recommendation in respect of the purchase of a financial product.

iii. Providing a proposal of a financial nature.

iv. Distributing promotional material.

v. Giving objective information about a financial product.

vi. Advice by a board member of any pension fund organisation or friendly society to their members on benefits to be enjoyed by the members.

- a) ii, iii, vi
- b) i, iii, v, vi
- c) ii, iii
- d) ii, iii, v, vi

79. TrustUs advertises a new financial service by telephone to their clients. They have a system and procedure in place to access and convert the voice logged records to a written format. If no financial service was provided from the telephonic advertisement, what is the minimum period that TrustUs must retain the records for?

- a) 60 days.
- b) 30 days.
- c) 45 days.
- d) 90 days.

80. As a Representative of TrustUs, you need to understand the requirements to comply with the FICA requirements embedded in the FAIS legislation.

Consider the following statements carefully and then choose the statement that is TRUE.

- a) One of the objectives of FICA is to introduce control measures to assist the detection and investigation of credit granting activities.
- b) In terms of FICA, accountable institutions are required to obtain statements from customers suspected to be laundering money.

d) FICA empowers the Financial Intelligence Centre to supervise the accountable institutions.

81. If a Representative is found guilty of fraud and misrepresentation. The FSP can dismiss the Representative and debar him under section 14 of the FAIS Act based on the fact that the Representative did not comply with the honesty and integrity requirements. A consequence of his debarment is that he will, for at least 12 months from the date of debarment, not be able to be reappointed as a representative of another FSP. Which statement is INCORRECT?

- a) The FAIS Registrar may consider circumstances for re-instatement of a debarred person.
- b) The FAIS Registrar will consult with the FAIS Advisory Committee regarding reinstatement of debarred persons.

- c) The Representative may be reinstated if certain requirements are met.

82. Continuous Professional Development (CPD) is a new requirement of the process of learning and development with the purpose to ensure that Representatives continue to give the best advice and to develop their knowledge of the Financial Services Provided.

Which statement is INCORRECT?

- a) Representatives need to develop and maintain professional competence in order to provide Financial Services of a high quality.

- c) Representatives need to render financial services with due care, competence and diligence with an ongoing duty to maintain knowledge and skills at required levels.

- d) None of the above.

83. The FSP applies to the Registrar for approval of a Key Individual. The FSP has to "satisfy" the Registrar that a Key Individual meets the Fit and Proper requirements in respect of honesty and integrity, as well as competence and operational abilities. Documentation is submitted with an application form. Which document is not required by the Registrar? Choose the INCORRECT one.

- a) A detailed CV must be attached, indicating the experience that the applicant has gained within the last five years.

- b) Full details of the person's responsibilities must be provided to illustrate that the person's experience is relevant to the category of financial services and subcategory of financial products being offered/rendered.

- c) Reference letters from previous employers must be submitted.

- d) Any changes in the marital status

84. Under what circumstances can a FSP disclose confidential information acquired or obtained from a client?

- i) The client consented verbally beforehand

- ii) The client consented in writing beforehand

- iii) The disclosure is required in terms of any law

- iv) The disclosure of the information is required in public interest

- v) The client's employer requested information verbally and in writing

- a) i, ii and iii

- b) i, ii, iii and v
- c) ii, iii and iv
- d) ii, iii and v

85. John is the Key Individual of Red Financial. He chooses to dismiss Tania as their Compliance Officer.

Whose responsibility is it to inform the Registrar of the reasons for dismissal?

- a) Tania.
- b) John.
- c) It is not a requirement to inform the Registrar.
- d) Internal auditors.

86. There are certain timelines that have to be met for successful completion of the experience, qualifications, regulatory examinations and CPD requirements. Failure by a Representative to meet the competency requirements by the relevant date means that the FSP is required to take appropriate action. Which statement is TRUE?

- b) Ensure compliance within a time period of two years from application.
- c) Ensure compliance within a time frame of three years.
- d) None of the above.

87. If a Representative is found guilty of misconduct regarding the Code of Conduct and is no longer Fit and Proper, what will be the restrictions imposed? Choose the CORRECT one.

- a) The Representative will be placed under supervision and left on the register.
- b) The Representative will be left on the register but with a note that he is not Fit and Proper.

d) All the above

88. The FSB have completed an investigation of TrustUs and found many areas of non-compliance. Carol is the Compliance Officer and she has complained about the lack of resources made available to her by TrustUs. Sam, the Key Individual, disputes this. TrustUs has four Representatives – Kelly, Simon, George and Claire. Who could be charged for misconduct in a personal capacity?

- i) Sam
- ii) Carol
- iii) FSP
- iv) Kelly, Simon, George and Claire

89. When a person does not submit a return, information or document to the Registrar as required by the FAIS Act, that person is liable to additional legal action. All FICA penalties will apply to an FSP if he/she does not comply with the FAIS requirements in respect of the FICA. Choose the CORRECT one.

- a) To pay a fine of up to R1 000 (or as determined by the Registrar) per day for every day that the return, information or document is late.
- c) To pay a fine of R1 000 (or as determined by the Registrar) per day for every day that the return, information or document is late, plus interest.
- d) None of the above.

Level 4 Questions

1. Alan is a Representative working for InsureMe for the past three years. Eight years ago he was involved in a motor vehicle accident and he was found guilty of drunken driving. Which of the following statements are FALSE with regard to Alan being fit and proper:

- i. Alan is fit and proper because the offence does not relate to honesty and integrity.
- ii. Alan is fit and proper because the offence occurred more than five years ago.
- iii. Only if Alan gets a jail sentence will his honesty and integrity be affected.
- iv. Only if Alan was found guilty in civil proceedings by a court of law of having acted fraudulently, dishonestly, unprofessionally, dishonorably or in breach of a fiduciary duty, within five years before the date of appointment by the FSP will he be not fit and proper.

- a) i and iv only
- b) iii only
- c) i and ii only
- d) ii and iv only

2. Alan is a Representative of InsureMe and he needs to disclose the following with regard to the commission payable in respect of financial products or services:

- i. The nature, extent and frequency of any incentive, remuneration, consideration, commission, fee or brokerages (“valuable consideration”), which will or may become payable to the provider, directly or indirectly, by any product supplier or any person other than the client.
 - ii. Where a financial product is being replaced by another financial product, full details must be disclosed of any incentive, remuneration, consideration, commission, fee or brokerages received, directly or indirectly, by the provider on the terminated product but it is not required for the provider on the replacement product where the provider rendered financial services on both the terminated and replacement product.
 - iii. Where a financial product is being replaced by another financial product, full details must be disclosed of any incentive, remuneration, consideration, commission, fee or brokerages received, directly or indirectly, by the provider on the terminated product and the same by the provider on the replacement product where the provider rendered financial services on both the terminated and replacement product.
 - iv. The identity of the product supplier or other person providing or offering the valuable consideration.
- a) i and ii and iv only
 - b) i and iii and iv only
 - c) ii and iv only
 - d) i and iv only

3. Sally is a Representative working for BigWig Brokers. She was caught shoplifting and the store decided to prosecute and she was found guilty and received a suspended sentence.

Which of the following statements are TRUE?

- i. Sally may not be debarred because she only received a suspended sentence and didn’t go to jail.
 - ii. BigWig may have to follow internal disciplinary procedures and ensure that all the labour law requirements are met before debarment of Sally.
 - iii. Only key individuals can be debarred for shoplifting (stealing).
 - iv. Sally must be debarred because she is no longer fit and proper.
- a) i and ii only
 - b) i and iii only
 - c) ii and iv only

d) i and iv only

4. As a Representative for TrustUs you need to ensure that the following requirements are met with regard to the confidentiality of client information:

i. A FSP may not disclose any confidential information acquired or obtained from a client unless the client consented in writing after the disclosure.

ii. A FSP may not disclose any confidential information acquired or obtained from a client unless the client consented in writing beforehand.

iii. A FSP may not disclose any confidential information acquired or obtained from a client unless disclosure of the information is required in the Registrar's interest.

iv. A FSP may not disclose any confidential information acquired or obtained from a client unless disclosure is required in terms of any law.

a) i and iv only

b) i and iii only

c) ii and iv only

d) i and ii only

5. As a Representative, you must disclose the product information. Which of the following disclosures must you make?

i. Written statement to the client, at least once a month, which identify the products and state the ongoing monetary obligations of the client, amongst other things.

ii. Details of any special terms or conditions, exclusions of liability, waiting periods, loadings, penalties, excesses, restrictions or circumstances in which benefits will not be provided and details of guaranteed minimum benefits or other guarantees.

iii. Material tax considerations and whether cooling off rights are offered and, if so, procedures for the exercise of such rights.

iv. Amounts of insurance premium increases of an insurance product, for the first five years and thereafter on a five year basis, but not exceeding 20 years.

a) and iii and iv

b) and ii and iii

c) and ii and iv

d) ii and iii and iv

6. Which of the following statements are TRUE with regard to the record keeping requirements in Section 24 of the FIC Act?

- i. In terms of Section 24 (1), the record keeping obligation may be outsourced to a third party provided the accountable institution is given free and easy access to these records.
- ii. Outsourcing of the record keeping function to a third party discharges the accountable institution from the record keeping responsibility.
- iii. Section 24(3) stipulates that if the accountable institution appoints a third party to keep records on its behalf, then particulars of the third party keeping records on behalf of the accountable institution must be provided to the FIC.
- iv. Section 24(3) stipulates that if the accountable institution appoints a third party to keep records on its behalf, then particulars of the third party keeping records on behalf of the accountable institution must be provided to the FSB.

- a) i and iii and iv only
- b) ii and ii and iii only
- c) (i) and iii only
- d) ii and ii and iii and iv

7. Which of the following statements apply to Representatives who give advice and/or render intermediary services in respect of multiple license categories or product subcategories?

- i. The relevant minimum and maximum periods of supervision start on the date that the Representative is appointed to render services in a particular license category or product subcategory
- ii. They can gain the experience at the same time, and will remain under supervision until the most onerous experience requirement is met.
- iii. They must gain the experience separately for the different categories, and will remain under supervision until the most onerous experience requirement is met.
- iv. Any significant interruption, being eight consecutive weeks or longer, must be compensated for by arranging an additional period under supervision, equal to the interrupted period.

- a) i and iii
- b) i and ii
- c) ii and iii
- d) iii and iv

8. As Mary's supervisor, Sipho has certain responsibilities. Which of the following statements BEST describe Sipho's responsibilities as a supervisor?

- i. Siphso must ensure that the FAIS compliance officer signs off all transactions which Mary completes.
 - ii. Siphso must assess the advice given by Mary for appropriateness by reviewing her client contact list, daily diary and the record of advice.
 - iii. Siphso must ensure that Mary has a good understanding of an exposure to the categories / subcategories she is providing financial advice in.
 - iv. Siphso must observe selected meetings between customers and Mary.
- a) i and ii
 - b) i and iii
 - c) ii and iii
 - d) iii and iv
9. The insurance cover requirements for a FSP includes the following:

- i. Category I or IV providers who do not receive or hold client's financial products or funds on behalf of clients on 21 September 2009 MUST have in force, in respect of the clients suitable guarantees of a minimum R1 million OR suitable professional indemnity cover of a minimum of R1 million.
- ii. Category I or IV providers who do receive or hold client's financial products or funds on behalf of clients on 21 September 2009 MUST have in force, in respect of the clients suitable guarantees of a minimum R1 million OR suitable professional indemnity and fidelity insurance cover of a minimum amount of R1 million.
- iii. Category II provider Who does not receive or hold clients' financial products or funds on behalf of clients on 21 September 2009 MUST have in force, in respect of the clients suitable guarantees of a minimum R1 million OR suitable professional indemnity cover of a minimum of R1 million.
- iv. Category II provider Who does receive or hold clients' financial products or funds on behalf of clients on 21 September 2009 MUST have in force, in respect of the clients suitable guarantees of a minimum R5 million OR suitable professional indemnity and fidelity insurance cover of a minimum amount of R5 million RESPECTIVELY.

- a) i and ii and iv only
- b) i and iii and iv only
- c) ii and iv only
- d) i and ii and iii and iv

10. Siphso, a financial advisor for FNB, recommends that his long standing client replace his existing motor vehicle insurance policy held with Outsurance (originally sold by Siphso to the

client), with a similar policy offered by FNB Life. Siphso is required to provide certain information to client when recommending replacement of a product.

Which of the options below are correct?

- i. Siphso must provide a comparison of fees and charges between the terminated product and the replacement product.
- ii. Siphso must provide a comparison of special terms and conditions, exclusions of liability, waiting periods, loadings, penalties, excesses between the terminated product and the replacement product.
- iii. Siphso must provide reasons why the replacement product is considered to be more suitable to the client's needs than keeping or modifying the terminated product.
- iv. Siphso is not required to provide any of the information above as he sold the original product to client with full product and fee explanation.

- a) i and ii and iii and iv
- b) iv only
- c) i and ii and iv only
- d) i and ii and iii only

11. Joe wishes to purchase shares. He has a Grade 8 educational qualification and is a simple, retired pensioner with little understanding of financial investments. Joe approaches Alan, an investment advisor at FNB to assist him in purchasing shares. Joe wishes to invest a sum of R 10 000 and seeks a stable non-volatile share option to invest in. Choose the CORRECT options below:

- i. Alan must provide Joe with a detailed written analysis of the various share options available for purchase. Alan has a duty to point out opportunities to purchase hedge fund instruments, swaps, etc.
- ii. Alan must establish Joe's financial situation and financial experience.
- iii. Alan is correct in recommending highly volatile oil shares as his advice is that Joe will make lots of money quickly.
- iv. Alan must choose / recommend a product which is suited to Joe's financial situation & risk profile.

- a) ii and iv only
- b) ii and iii and iv only
- c) i and ii and iii and iv

- d) i only

12. Alex has been requested to provide Aubrey with advice with regard to short term deposit

options. Aubrey is very busy and in meetings and so cannot meet with Alex to provide information on his financial situation or objectives. Aubrey advises Alex to make a decision on his behalf. Alex has a duty to? Choose the CORRECT option below.

- i. Choose a product that Alex thinks is suitable, complete the record of advice and send it to Aubrey within 30 days as Aubrey has given him full discretion to do so.
 - ii. Advise Aubrey that a full needs analysis was not done and there might be limitations to the advice provided.
 - iii. Advise Aubrey to consider by himself, whether the advice provided is appropriate to his needs.
 - iv. Assist Aubrey in every way he can and to do as Aubrey requested.
- a) ii and iii only
 - b) i and ii and iii only
 - c) i and iii only
 - d) iv only